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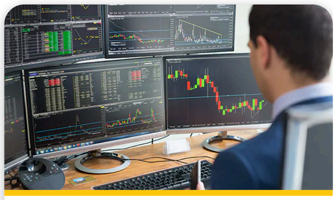

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Economics

March 13, 2026

U.S. Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week In Review

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U.S. Week Ahead

- The FOMC meeting will be the focal point next week, as intensifying stagflation risks put the Fed's dual mandate in tension. We expect the Committee to hold rates steady and emphasize optionality, with the updated SEP likely to show that expectations for slightly higher inflation and lower growth will net out to an unchanged policy path. Elsewhere, activity in interest rate sensitive sectors remains touch and go; we forecast industrial production slipped in February and new home sales rose in January.

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Forecast as of March 13, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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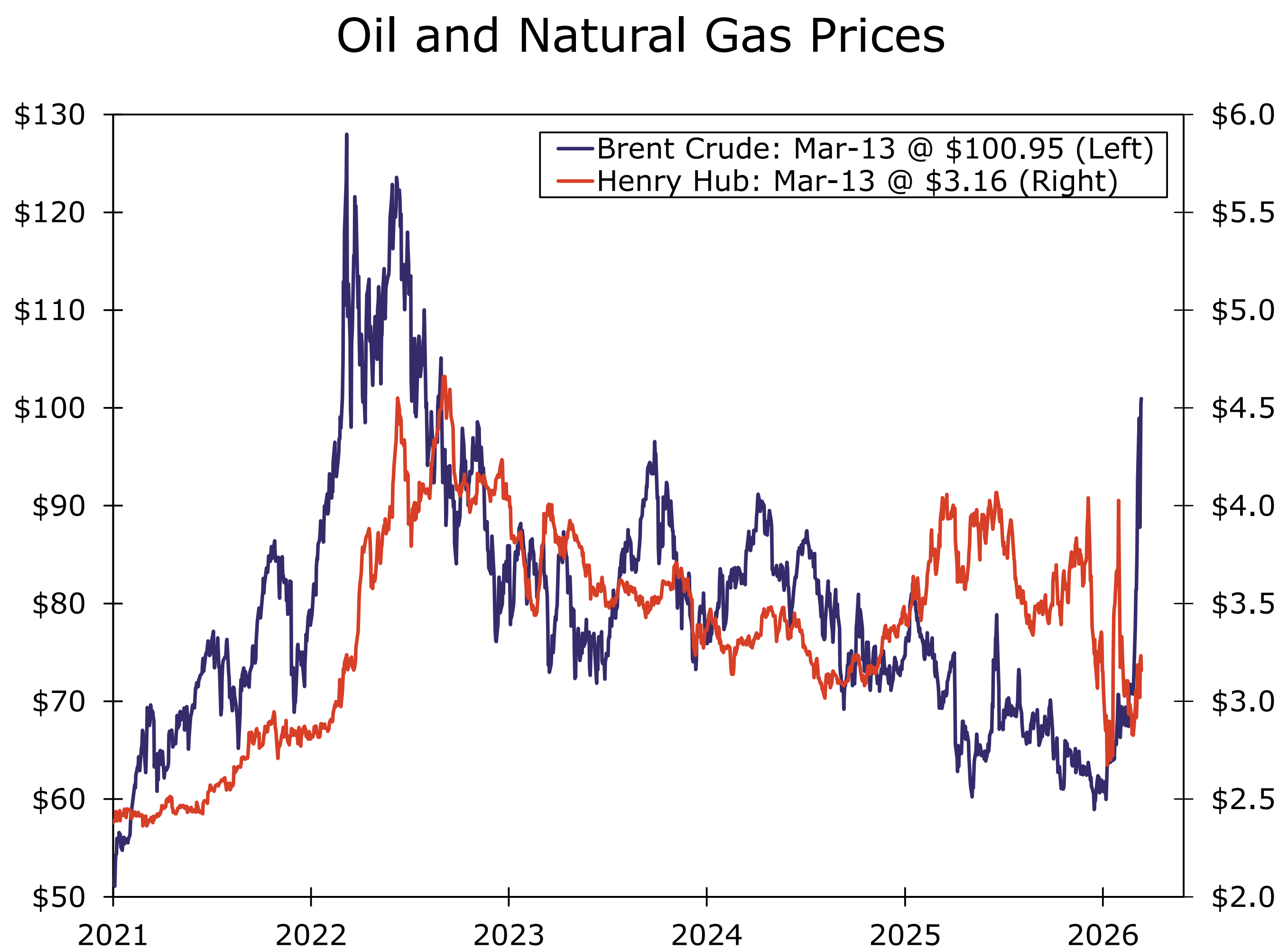

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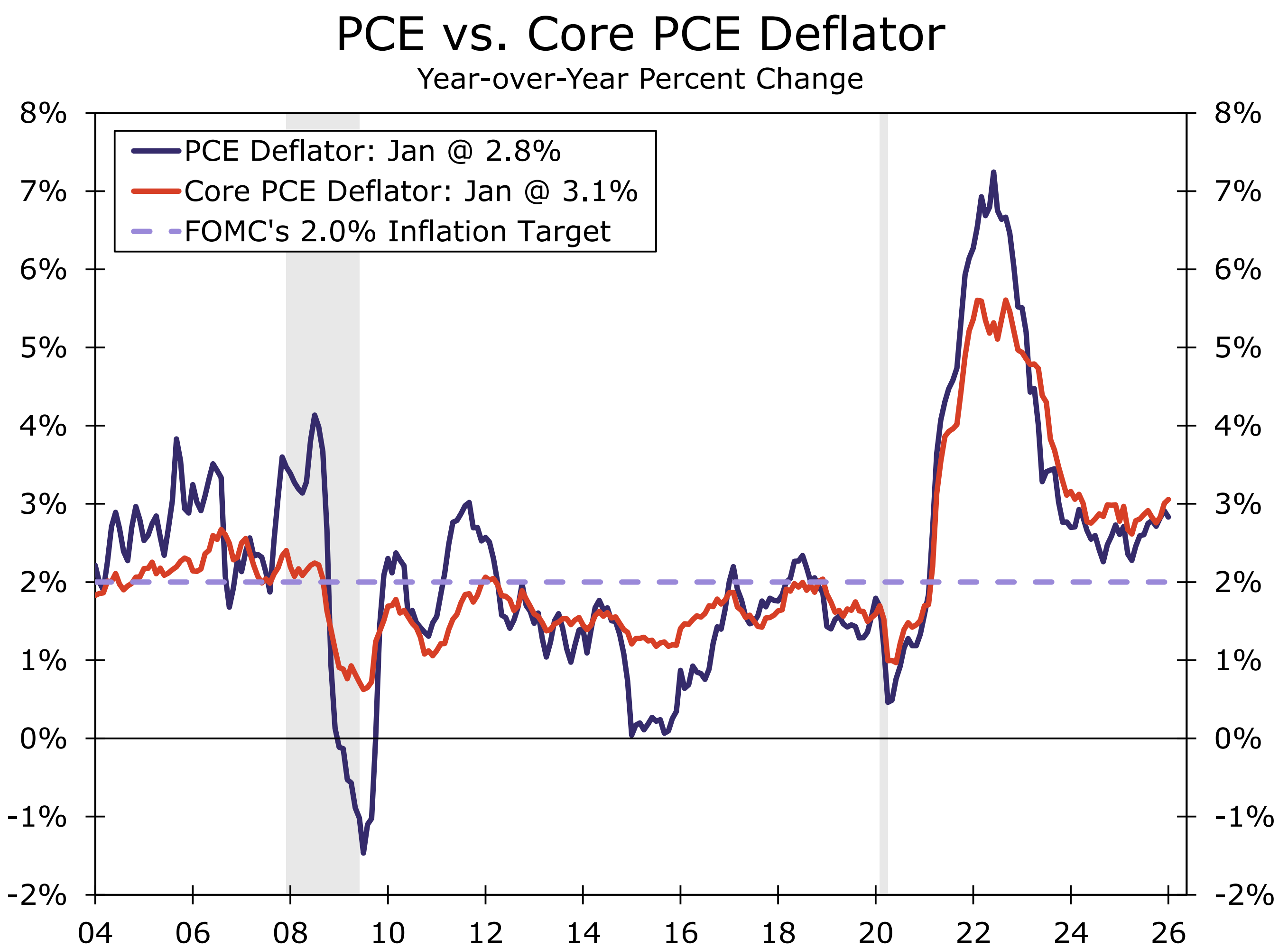

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Small business sentiment softened for a second month as firms pared back hiring and capex plans, though optimism about broader economic conditions remained relatively constructive, supported by solid earnings and sales. Meanwhile, trade data continue to be distorted by investment-related flows such as non-monetary gold. These data won't translate directly to what is included in GDP accounting, and thus the $18.4 billion narrowing in the January trade deficit overstates the growth impact. Strong demand for high-tech-related products has propped up imports, though non-monetary gold accounted for roughly 40% of the overall drop in imports over the month. We expect the trade deficit to widen over the course of the year due to pent-up import demand and near-term clarity on tariffs.

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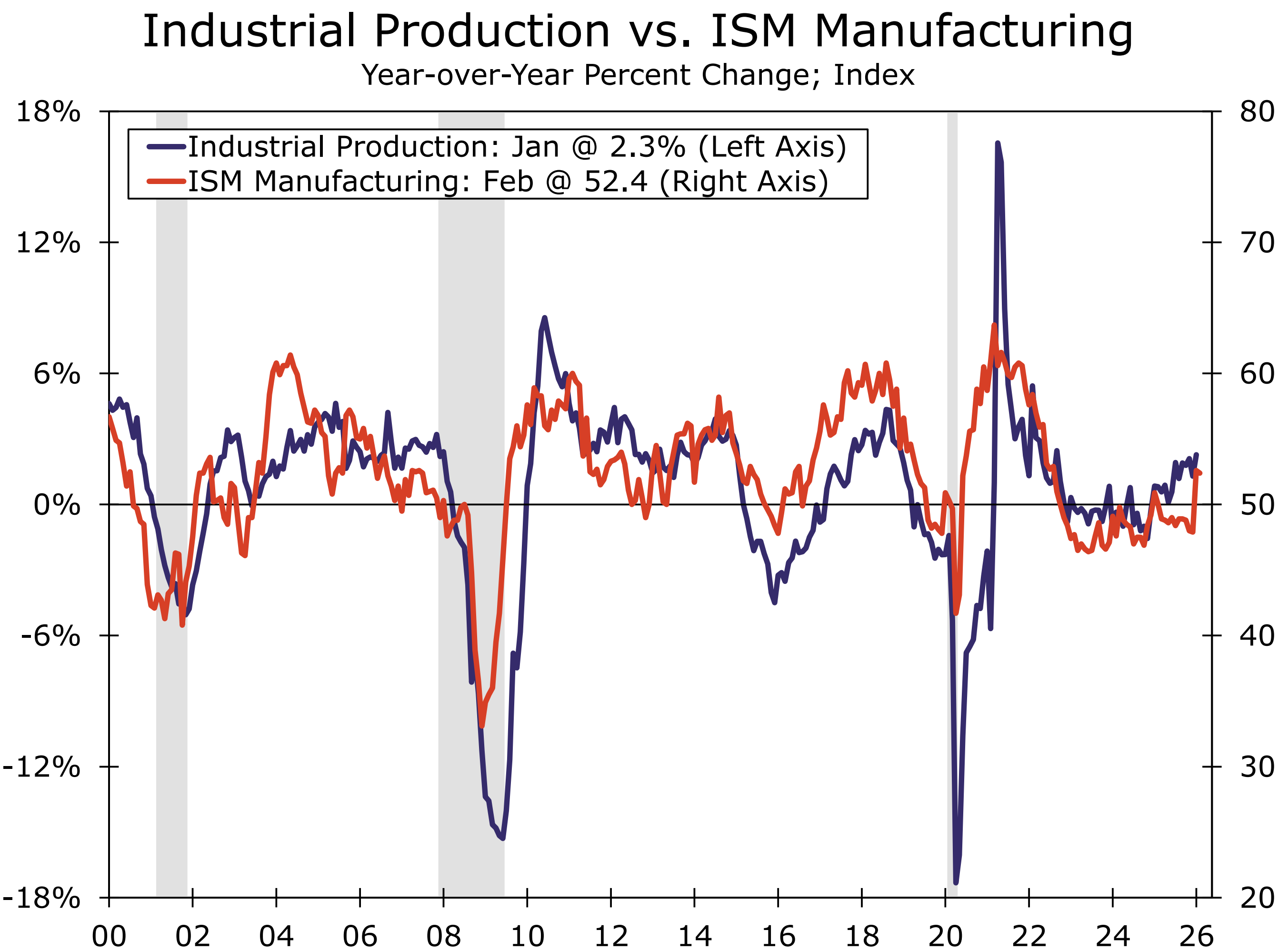
That said, pent-up demand for conventional capital spending, combined with a recent easing in tariff pressures following the ruling against IEEPA tariffs and the maintenance of a 10% baseline tariff, could support a gradual pickup in activity. February ISM manufacturing edged down just 0.2 points to 52.4 but remained in expansion territory, supported by strength in new orders, production and supplier deliveries. Against this backdrop, we expect industrial production slipped modestly in February, down 0.3%.



Source: Federal Reserve Board, Institute for Supply Management and Wells Fargo Economics

FOMC • Wednesday

Stagflation risks have increased since January, putting the FOMC's dual mandate in tension. Volatile energy prices tied to the Iran conflict have induced uncertainty, but the net signal from recent data is little changed: the labor market is still muddling along, and PCE inflation remains stuck near 3%. We expect the Committee to hold rates steady next week and lean heavily on optionality, emphasizing that higher uncertainty argues for a data-dependent approach.

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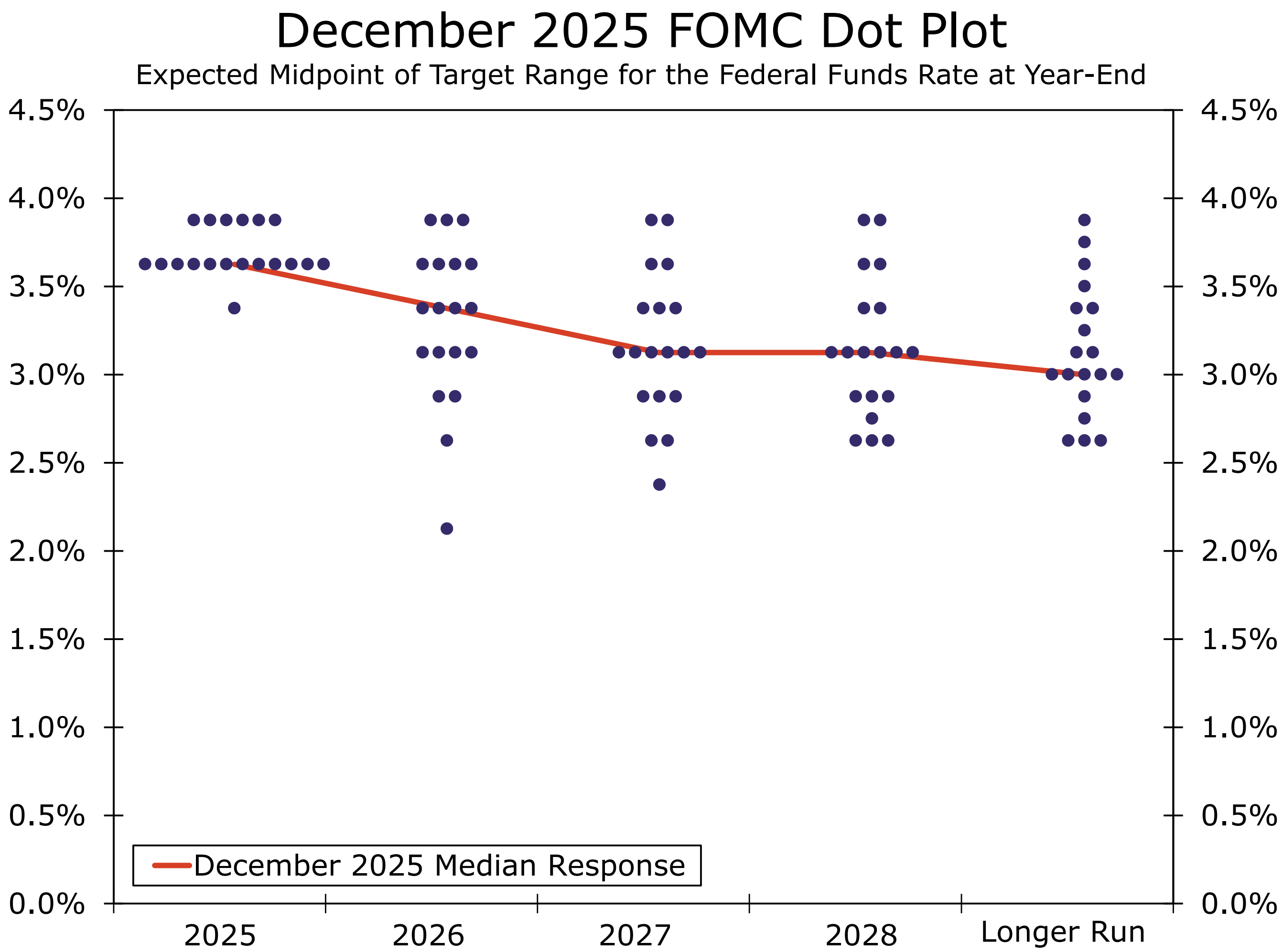

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New home sales are gaining momentum. After averaging a 660K annual pace through the first half of 2025, which was slightly below the year prior, the average pace of transactions jumped to 751K in November and December. Lower mortgage rates appear to be a main driver. The average 30-year fixed rate fell from 7.0% in January 2025 to 6.2% in December and have since slid further to 6.0%. Furthermore, approximately two-thirds of builders are using incentives like price cuts and mortgage rate buy-downs to offset macro challenges, an elevated share compared to recent history.

Harsh winter weather likely prompted some giveback in January. However, price cuts and lower mortgage rates are likely to sustain a healthy overall pace of transactions. We forecast that 2026 started off with a 719K annual sales rate in January, which would be near the upper end of new home sales' overall range last year.

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Required Disclosures

Economics

March 13, 2026

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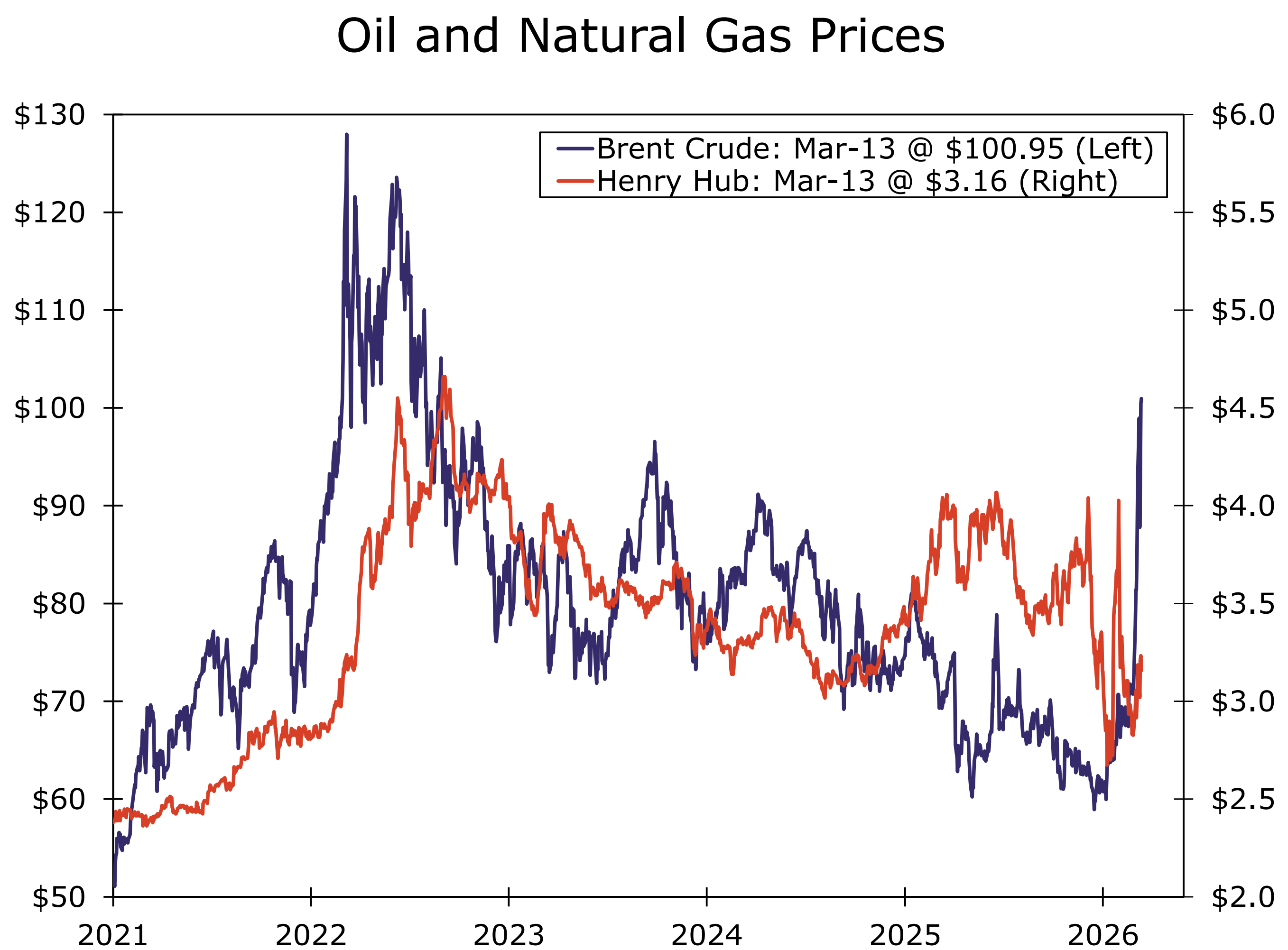

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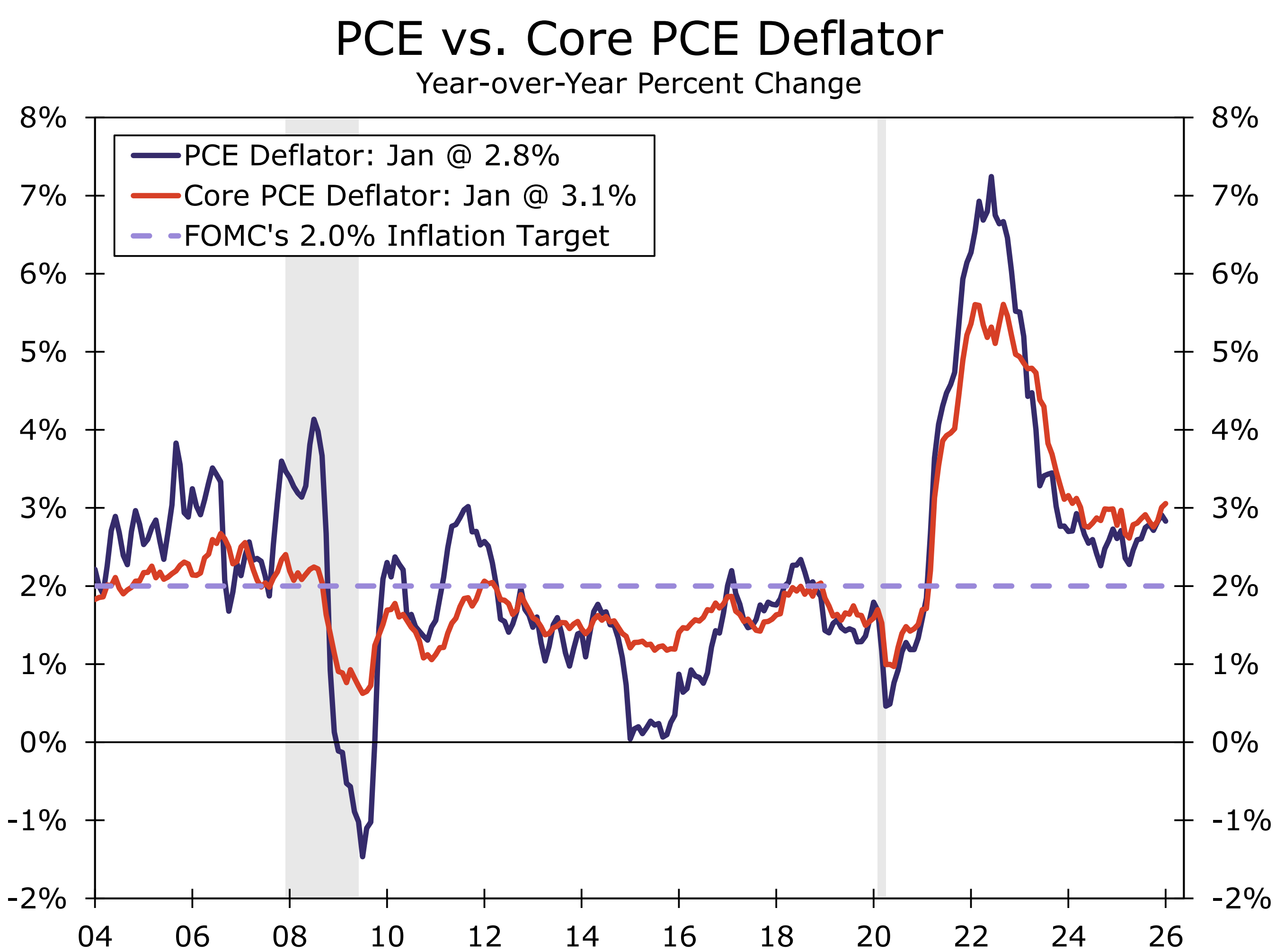

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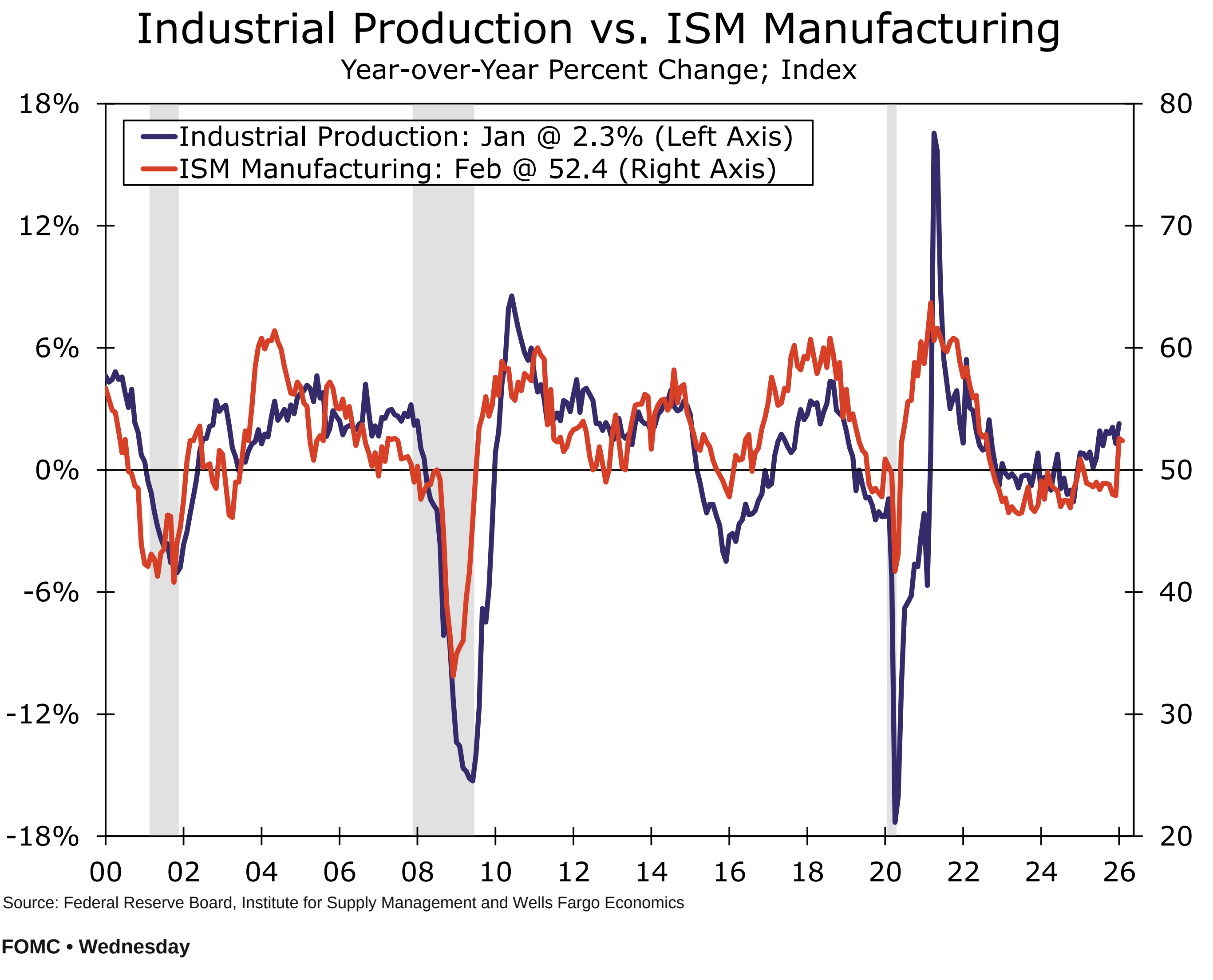

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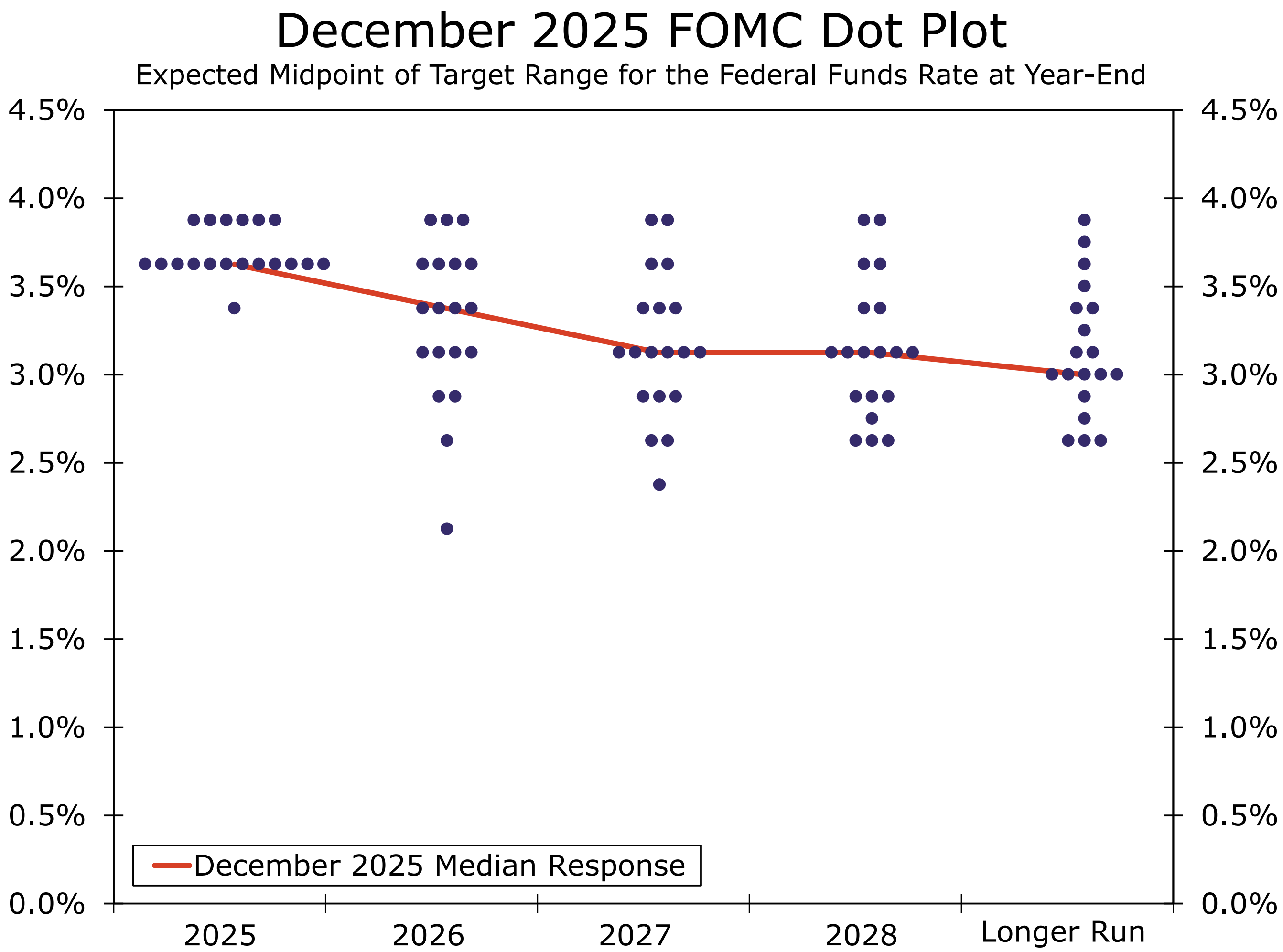

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Economics
March 6, 2026

International

International Week Ahead—March 6, 2026

Weekly

Economist(s)

 Brendan McKenna

 Aroop Chatterjee

 Azhin Abdulkarim

Tom Tom Porcelli

International Week Ahead

- **Canada Labor Force Survey:** Trade-Related Sectors Likely to Remain a Drag
- **Canada Manufacturing Sales:** Weak January Print After a Robust December Increase
- **U.K. Monthly GDP:** Strong Momentum to Start the Year
- **Mexico CPI:** Oil Price Shock Makes Banxico's Inflation Outlook More Challenging
- **India CPI:** RBI Now Firmly on Hold, Balance of Risk Shifts to Hikes
- **Brazil CPI:** Our Less Dovish BCB Outlook Slowly Being Priced into Financial Markets
- **China Activity:** Downside Risks to China GDP are Starting to Take Shape

Weekly International Indicator Forecasts

Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
9-Mar	Mexico	CPI (YoY)	Feb	3.98%	—	3.79%
9-Mar	Mexico	Core CPI (YoY)	Feb	4.49%	—	4.52%
12-Mar	India	CPI (YoY)	Feb	3.15%	—	2.75%
12-Mar	Brazil	CPI (MoM)	Feb	—	—	0.33%
12-Mar	Brazil	CPI (YoY)	Feb	—	—	4.44%
11-Mar	China	Industrial Produciton (YoY)	Feb	5.0%	—	5.9%
12-Mar	China	Retail Sales (YoY)	Feb	2.3%	—	3.7%
13-Mar	Canada	Unemployment Rate	Feb	10K	-10K	-24.8K
13-Mar	Canada	Unemployment Rate	Feb	6.6%	6.6%	6.5%
13-Mar	Canada	Manufacturing Sales (MoM)	Jan	-3.3%	-3.3%	0.6%
13-Mar	U.K.	Monthly GDP (MoM)	Jan	0.2%	0.3%	0.1%

Forecast as of March 06, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

Canada Labor Force Survey • (3/13)

Trade-Related Sectors Likely to Remain a Drag

Canada's labor market data for February is likely to show a modestly weakening job market, with pain concentrated in trade-centric sectors. For now, much of this has been felt in manufacturing, but is likely to spread to transportation. The Business Outlook Survey for Q4-2025 continues show weak hiring intentions and lack of labor shortages, consistent with falling job vacancies. We look for headline employment to come in at -10K and for the unemployment rate to tick higher, to 6.6%. The sharp decline in labor force participation in January is unlikely to be repeated. However, population growth has slowed markedly in recent months—falling from 3% in 2023/24 to 0.9% in 2024/25. This, along with the medium-term downtrend in labor force demographics on an aging population, implies a very low level of job growth (and even slight job loss) could keep the unemployment rate stable. As such, given these structural shifts, the Bank of Canada (BoC) is likely to pay closer attention to other indicators such as underlying job growth, vacancies, hiring intentions, wages, etc. to form a view on the health of the job market.

Canada Manufacturing Sales • (3/13)

Weak January Print After a Robust December Increase

We expect manufacturing sales to decline 3.3% month-over-month in January. The drop is likely to be driven by transportation equipment and machinery sectors, which in turn reflects the headwinds of trade-exposed industry. The January drop follows a robust December increase but still implies a weak trend in sales. The 3-month average month-over-month growth rate was -0.6% in December, well below the 12-month average -0.08%. We continue to think that the Bank of Canada (BoC) will lean dovishly given the domestic backdrop in our baseline. Higher oil prices, if sustained, change the outlook substantially by boosting both growth and inflation prospects. However, we think these levels need to be sustained for a month or two before a shift from in policy tone. The BoC's March meeting, on March 18, is likely too soon for it to make such an assessment.

U.K. Monthly GDP • (03/13)

Strong Momentum to Start the Year

We expect the UK's January GDP print to come in strong at 0.3% month-over-month, up from December's 0.1% and above consensus expectations (0.2%.) Growth will likely be broad-based across industrial, services and construction sectors, with economic activity indicators and January's PMIs surveys both pointing to an encouraging start to the year. While services carries more weight on the economy, manufacturing activity also has been trending upward, adding to the positive impulse. However, policymakers' concerns are heightened as they weigh the impact of the renewed conflict in the Middle East on growth and inflation. As an overall net exporter of oil and gas, the UK economy is exposed to higher energy prices, which if prolonged would act as a drag on activity. At this point, though, this is still not a prolonged conflict. As such, we maintain our view that the Bank of England (BoE) should continue cutting rates—whether that will be the case is another matter. We can see the BoE opting to hold at their March meeting as the language from policymakers has turned cautious over the past week.

EM

Mexico CPI • (3/9)

Oil Price Shock Makes Banxico's Inflation Outlook More Challenging

February inflation data will be an input into Banxico's assessment of monetary policy settings at its March meeting; however, the rise in oil prices due to events in the Middle East takes some of the steam out of the importance of next week's CPI release. In fairness, oil prices had ticked up before the conflict intensified. A 15% rise in oil prices pre-conflict was not immaterial, and policymakers expressed some concern, but not enough to push Banxico off its bias for lower interest rates. With Brent Crude now up ~35% year-to-date, upside risks to inflation are starting to take shape that policymakers may not be able to dismiss so easily. Elevated oil prices will feed directly into headline inflation, and based on the duration and intensity of the conflict, could potentially have second round effects that impact price formation more broadly. That dynamic may not be fully captured in next week's CPI data, leaving February CPI data a bit more backward-looking. Our view has been that local inflation trends are more complicated than Banxico's assessment of CPI, and at some point in the near future, Banxico will adopt a less optimistic stance that the CPI target will be hit in the coming quarters. The sharp rise in oil prices may be the catalyst for Banxico to shift its own inflation expectations. Our views on Mexico inflation led us to adopt a higher terminal rate forecast than markets were pricing pre-conflict, and we remain comfortable with an above-market pricing and consensus forecast given the events of the past week.

India CPI • (3/12)

RBI Now Firmly on Hold Although Balance of Risk Shifts to Hikes

India's economy is heavily exposed to events in the Middle East and the subsequent rise in oil prices, which also makes next week's CPI data less relevant than usual. One of the largest oil importers in the world, India could experience a notable rise in headline inflation come March with possible pass through to core inflation, depending on how long the oil spike and market volatility persists. The inflationary impact is a potential problem for India, but perhaps not as much of an issue at the moment, as price growth has been well below the Reserve Bank of India (RBI) CPI target for some time. With price growth below target, RBI policymakers may not be as quick to shift in a more hawkish direction on monetary policy. We would also note that government subsidies—despite India's public finance position being rather weak—could be enhanced to offset household affordability concerns from rising energy prices. Expanding subsidies raises its own challenges, but the combination of already subdued price pressures and fiscal offset could limit the inflationary impact and keep RBI policymakers on hold for now. A sustained rise in oil prices, however, likely prompts a more hawkish response from the RBI, especially if the rupee remains under pressure. For now, we forecast RBI policy rates to be left on hold, but the balance of risk has shifted toward rate hikes, as opposed to further rate cuts, given the upside risks to inflation and downside risks to the rupee.

Brazil CPI • (3/12)

Our Less Dovish BCB Outlook Slowly Being Priced into Financial Markets

Slightly different from Mexico and India, Brazil's February CPI will remain an influential data point for market participants and local policymakers. Brazilian Central Bank (BCB) policymakers have signaled that rate cuts are set to begin this month, but what is still unclear is the forcefulness of easing to start of the cycle. Next week's CPI data can offer insight into whether BCB policymakers choose to move quickly when removing monetary policy restriction or take a more gradual approach to lowering the Selic Rate. Worth noting, however, is how Middle East event risk is very much an input for the BCB too. To that point, late this week BCB monetary policy director and COPOM voter Nilton David signaled that the path for rates may change as a result of the conflict in the Middle East. Specifically David commented:

"The central bank can change course if the scenario changes. Our level of conviction extended only to the next meeting. There have been developments that we cannot ignore, and clearly they must be factored into our assessment."

We have been less dovish on the BCB than market pricing, calling for a more gradual 25 bps rate reduction at the March meeting, as opposed to a 50 bp cut markets are priced for. Consensus economists have also gravitated toward a 50 bp rate cut. We continue to feel comfortable, perhaps more comfortable, with our tempered start to the easing cycle forecast as oil prices pop higher, BRL is under pressure, looser fiscal policy is likely, and now after Monetary Policy Director David's comments. February CPI will not capture all the recent rise in oil prices, but will still matter, and should another above estimate inflation print, similar to what we saw with mid-month IPCA data hit, our view for a 25 bp cut would be reinforced.

China Activity • (3/15)

Downside Risks to China GDP Are Starting to Take Shape

February retail sales, industrial production and other activity data—which are the first hard data releases since the Lunar New Year period ended—will offer a pre-conflict glimpse into early 2026 economic momentum across China. We noted in recent publications how risks to China's near-term growth prospects had been tilted to the upside (despite the probability of "hard landing" risks rising); however, the near-term balance of risk for growth has become more two-sided as a result of the conflict with Iran. Should activity data align with underwhelming February manufacturing and non-manufacturing PMIs, the balance of risk could tilt more heavily to the downside. As of now, we forecast China's economy to grow 4.6% this year, which is notable given that our forecast represents a slower growth profile for China relative to last year, but also as China's official growth target was lowered to 4.5%–5.0% at the still-ongoing National People's Congress. The duration of the conflict in the Middle East will ultimately play a role in whether downside risks to growth become our new base case. For now, we have not made adjustments to our China economic outlook, and our GDP forecast is not only in the middle of the new official growth target, but in line with consensus estimates.

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All estimates/forecasts are as of 3/6/2026 unless otherwise stated. 3/6/2026 14:01:00 EST.

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Economics

February 27, 2026

Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week in Review

- The economic data calendar was relatively light this week. However, the major indicators that were published showed that inflation pressures continue to percolate with few signs of the labor market exiting its soft patch. Meanwhile, the Fed communication channel provided comments underscoring the lack of consensus on which side of the Fed's dual mandate demands the most attention, given still-elevated inflation and labor market risks.

U.S. Week Ahead

- Next week will bring some key readings on the economy's early year momentum. We look for the February ISM surveys to show a modest firming in services activity and that the factory sector is continuing to reemerge from the prior year's slump. Yet, the February employment report is likely to indicate that, while the labor market remains roughly in balance, job growth is struggling more than last month's jump in payrolls indicated. We believe the temperate labor market backdrop along with adverse winter weather led to a muted rise in January retail sales.

Weekly Domestic Indicator Forecasts

Date	Indicator	Period	Consensus	Wells Fargo	Prior
2-Mar	ISM Manufacturing	Feb	51.8	52.0	52.6
3-Mar	Total Vehicle Sales (SAAR)	Feb	15.16M	15.35M	14.85M
4-Mar	ISM Services	Feb	53.8	54.2	53.8
5-Mar	Nonfarm Productivity Annualized (QoQ)	Q4	1.6%	2.2%	4.9%
6-Mar	Retail Sales (MoM)	Jan	-0.3%	0.1%	0.0%
6-Mar	Retail Sales Ex-Auto (MoM)	Jan	0.0%	0.3%	0.0%
6-Mar	Nonfarm Payrolls	Feb	60K	45K	130K
6-Mar	Private Payrolls	Feb	70K	55K	172K
6-Mar	Unemployment Rate	Feb	4.3%	4.3%	4.3%
6-Mar	Average Hourly Earnings (MoM)	Feb	0.3%	0.3%	0.4%

Forecast as of February 27, 2026

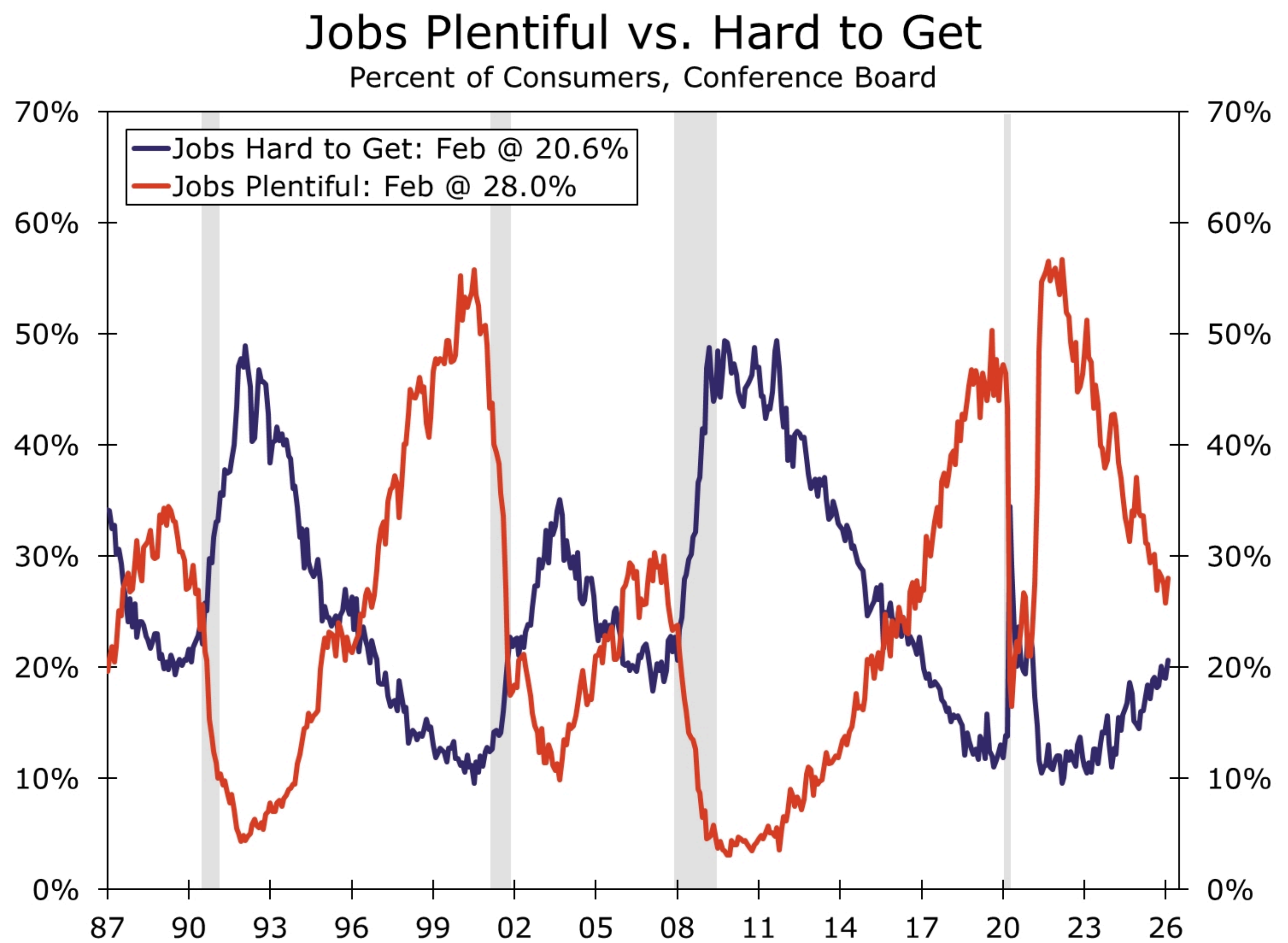
Source: Bloomberg Finance L.P. and Wells Fargo Economics

U.S. Week in Review

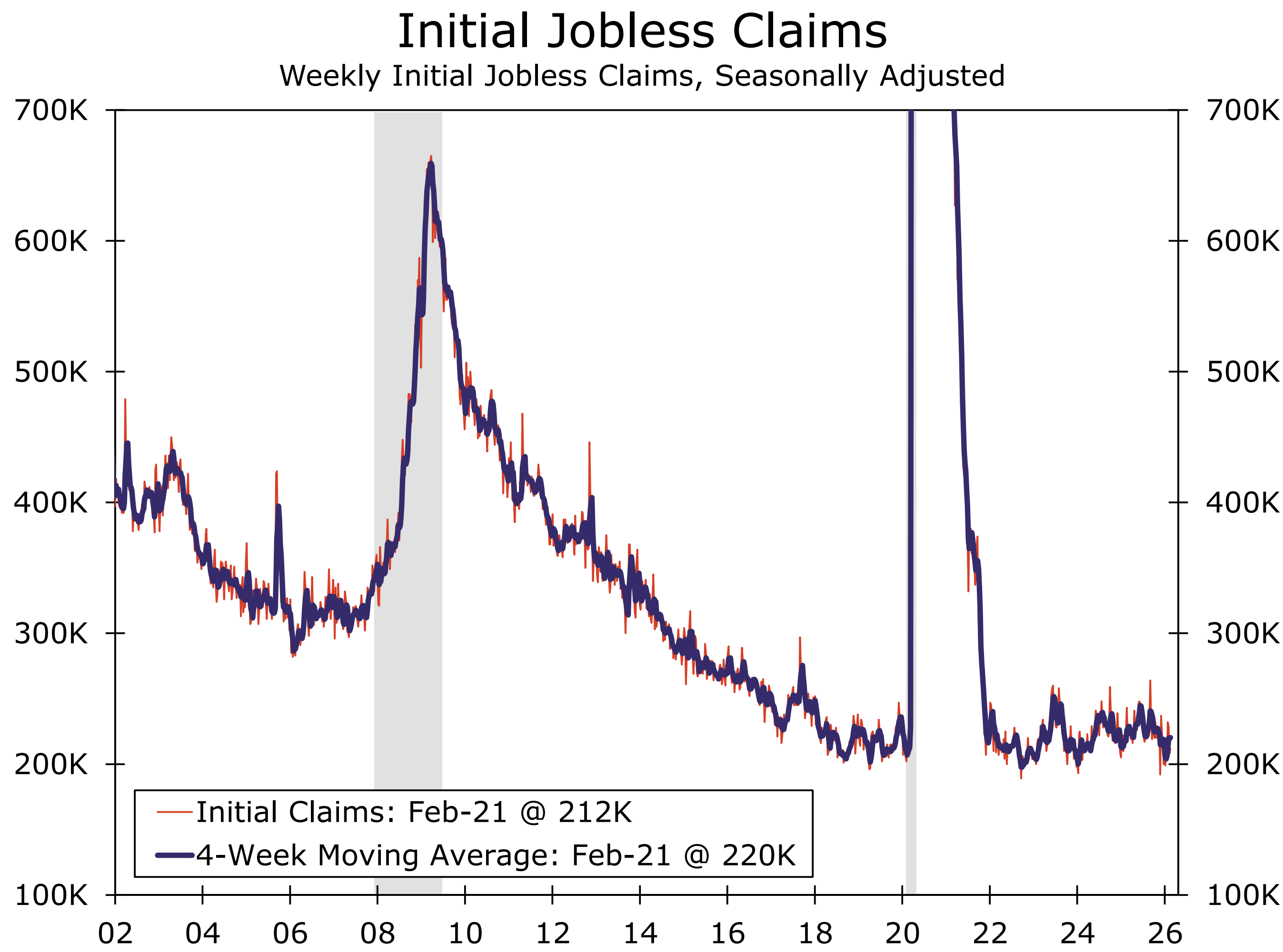
The economic data calendar was relatively light this week. However, the indicators that were published showed that inflation pressures continue to percolate with few signs of the labor market exiting its soft patch.

The soft labor market narrative was on display within the details of January's consumer confidence print. Top-line consumer confidence is still bouncing around at the lower end of its past five-year range but came in a bit stronger than expected during January. The upside surprise was an encouraging development in that it suggests consumers are not feeling any worse about the current state of the economy. That said, the labor differential subcomponent, i.e., the difference between respondents saying "jobs are plentiful" and those saying "jobs are hard to get," remains a glaring weak spot.

Breaking it down, just 28% of people think "jobs are plentiful," up slightly during the month but still well off the recent cycle peak of over 50%. This suggests firms are still being cautious on adding to headcounts. But are they reducing payrolls in a material way? "Jobs hard to get" has averaged just 20% over the past several months, up from recent lows but hardly consistent with skyrocketing unemployment. In addition, initial jobless claims declined to 212K during the week ended Feb. 21, further evidence that overall unemployment is not surging higher. The message is that the labor market is currently lethargic, with very slow rates of new hiring. But deep and widespread layoffs (beyond a select few industries) do not appear to be happening either.



Source: The Conference Board and Wells Fargo Economics



Source: U.S. Department of Labor and Wells Fargo Economics

The thin flow of major indicators allowed plenty of time to parse through a full week of Fed speak. Generally speaking, the comments provided underscored that there is no clear consensus at the FOMC and among the regional bank presidents on which side of the Fed's dual mandate demands the most attention. For example, Chicago Fed President Goolsbee stated "I remain optimistic that there can be more rate cuts this year. But that hinges on seeing actual progress on inflation that shows we are on a path back to 2%." Governor Miran seemed more concerned about downside risks to employment, saying "I think it's way too early to sort of sound an all clear that the labor market doesn't need more support from the Federal Reserve" and "four cuts I think are appropriate and I'd rather get them sooner rather than later."

However, comments from Governor Waller at the NABE policy conference in D.C. on Monday especially stood out to us. "If the labor market data for February are consistent with the stronger job creation and low unemployment rate initially reported in January, indicating that downside risks to the labor market have diminished, it may be appropriate to hold the FOMC's policy rate at current levels and watch for continued progress on inflation and strength in the labor market. But if the good labor market news of January is revised away or evaporates in February, it would support my position at the FOMC's last meeting, that a 25-basis-point reduction in the policy rate was appropriate, and that such a cut should be made at the March meeting. As things stand today, I rate these two possible outcomes as close to a coin flip."

In our view, January's "strong" employment growth may have been overstated and a more moderate payroll gain in February seems likely. For more on our nonfarm payroll forecast, please see below in our Outlook section. Nevertheless, labor market conditions do not appear to be deteriorating and look to have stabilized, albeit within a "low hire, low fire" context. Meanwhile, January's hotter-than-expected rise in both the headline and core Producer Price Index is the latest reminder that price pressures are still evident and that most inflation measures are still running above the FOMC's 2% target. From our standpoint, this lowers the likelihood of a March rate cut, though two additional 25 bps cuts later this year are still on the table, given still-present downside risks in the labor market.

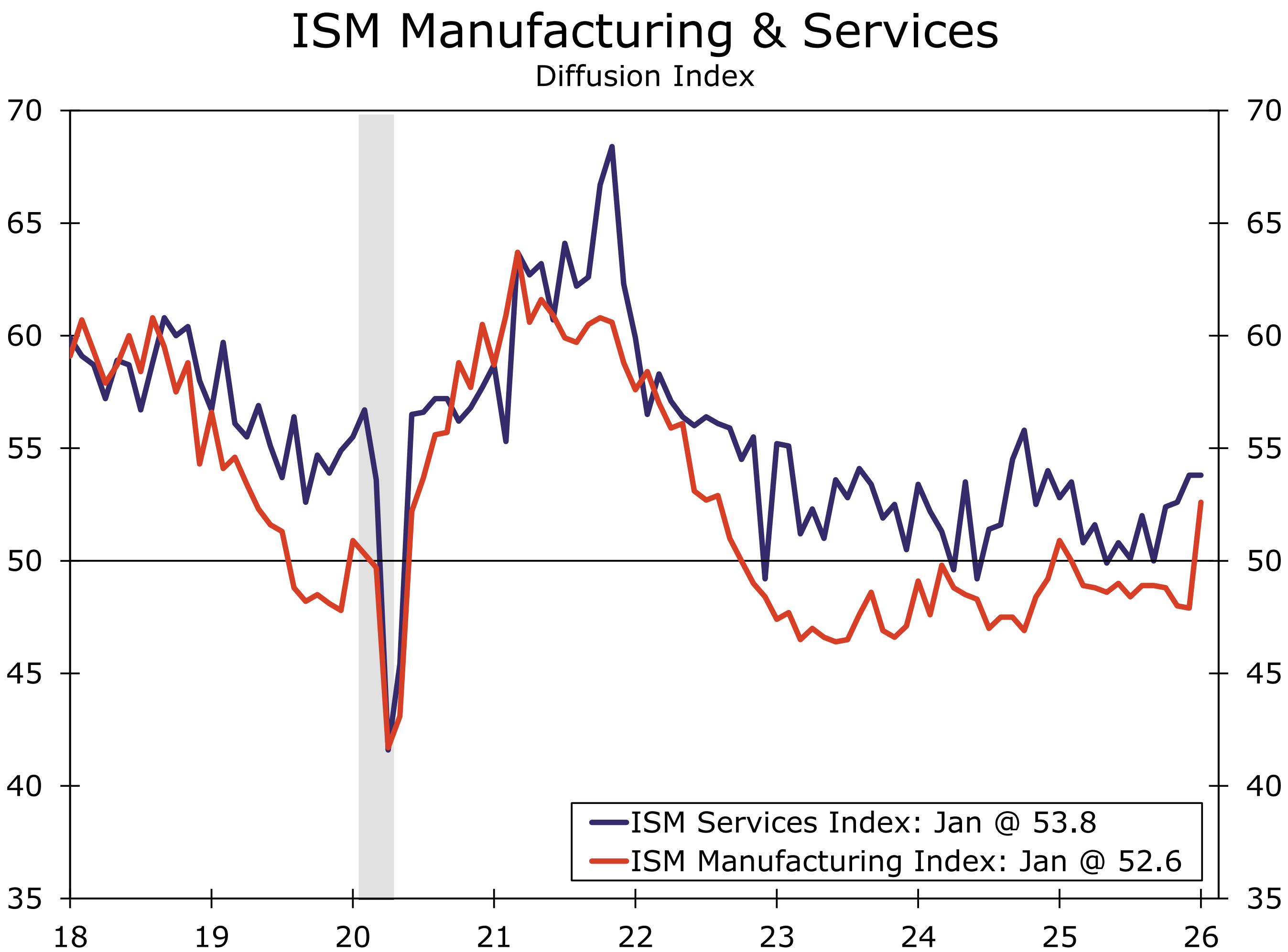
(Return to Summary)

U.S. Week Ahead

Monday & Wednesday • ISM Surveys

The ISM manufacturing index crossed into expansion territory in January for the first time in 10 months. The improvement comes amid an upswing in capital spending—highlighted by broadening in durable goods orders—as well as restocking efforts in the wake of last year's tariff hikes. We would not be surprised to see a little giveback in February following last month's leap, however, and estimate a February print of 52.0. The nearly 10-point jump in the new orders component in January overstates underlying momentum in the factory sector in our view. Regional PMIs for February show manufacturing activity continued to expand last month, but a more even-keeled pace.

Non-manufacturing activity continues to hold up better, as indicated by the ISM services index maintaining its 14-month high in January. Although firms remain cautious when it comes to hiring, business activity has been sturdy. We look for the February reading, due Wednesday, to edge up to 54.2.



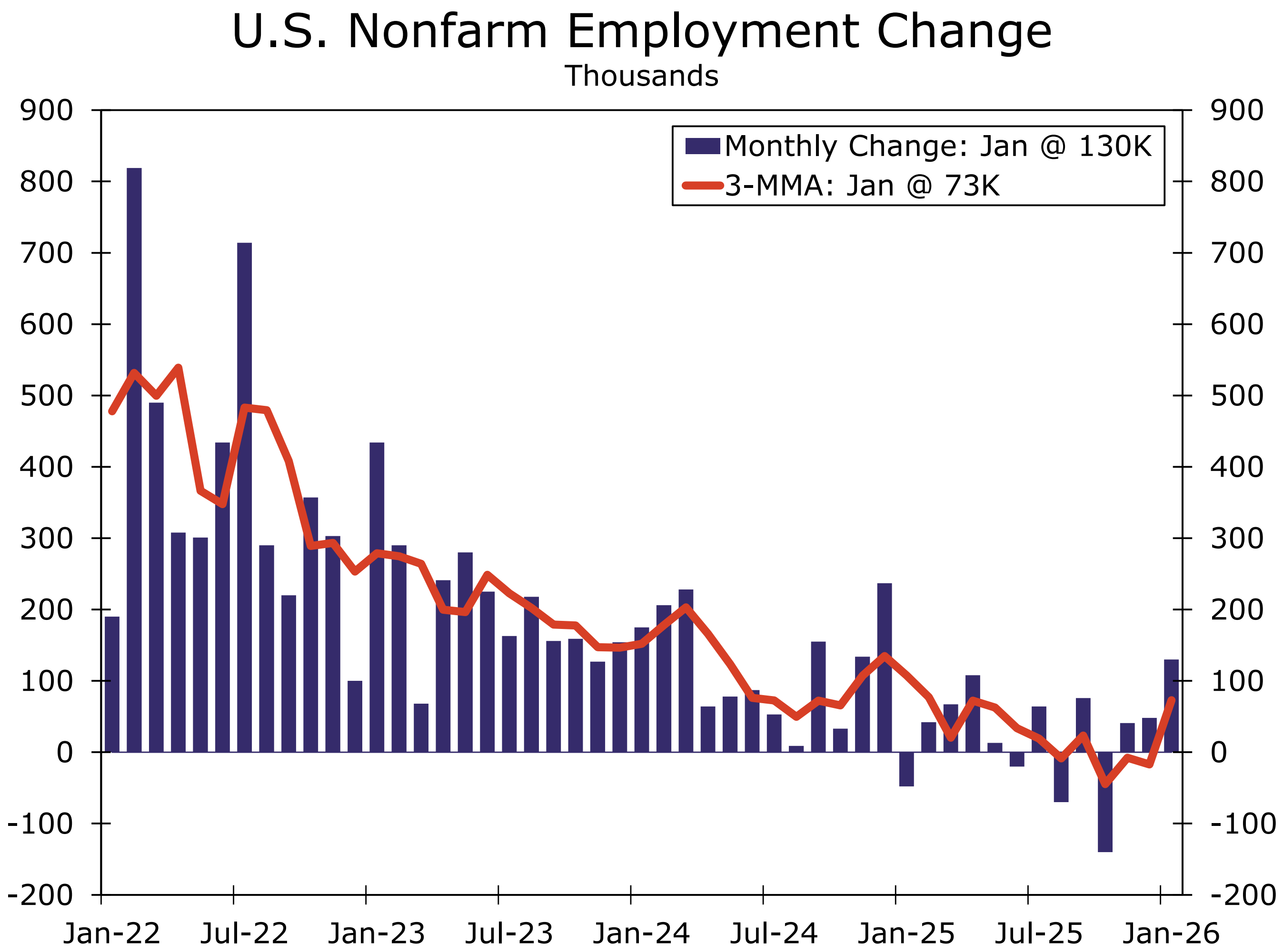
Source: Institute for Supply Management and Wells Fargo Economics

Friday • Employment

We expect the February employment report to show that January's robust pace of payroll growth overstated underlying momentum in the labor market. While some stabilization in demand for workers is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring. We look for nonfarm payrolls to rise by 45K in February, with weakness in weather-sensitive industries like construction and leisure & hospitality and some payback in healthcare & social assistance after a significantly above-trend reading in January.

We estimate the unemployment rate held steady at 4.3% in February, but see two-sided risk to this call. The household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. However, the implementation of the household survey's annual population adjustment poses downside risks, given the shift in immigration trends last year. *Ratios* from the household survey such as the labor force participation rate and unemployment rate are less affected by the population control adjustments than *level* data, but can move slightly under meaningful changes in the composition of the population.

The roughly balanced labor market should lead to average hourly earnings advancing a trend-like 0.3% in February and 3.7% over the past year. For more information, please see our employment preview.



Source: U.S. Department of Labor and Wells Fargo Economics

Friday • Retail Sales

The shutdown-delayed January retail sales report is expected to show spending got off to a modest start in 2026. A large winter storm across the central and eastern U.S. likely crimped activity, with auto sales in January already reported to have fallen to nearly a three-year low. Lower gasoline prices will also have weighed on sales, leading us to expect just a 0.1% increase in total retail sales last month.

Yet, consumers are still finding ways to spend despite the cooler jobs market leading to slower income growth and a dampened consumer mood. High-frequency credit card data showed some modest firming in spending in January, leading us to expect retail sales ex-autos rose 0.3% last month. We expect retail sales to show more signs of life in the coming months as larger tax refunds and stabilizing labor market conditions support more discretionary spending.

(Return to Summary)

Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

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Economics
February 27, 2026

International Week Ahead - February 27, 2026

Weekly

Economist(s)


Brendan McKenna


Aroop Chatterjee


Azhin Abdulkarim

International Week Ahead

- **Eurozone CPI:** Disinflation to Keep ECB Asymmetry for Rate Cuts
- **Australia GDP:** Q4 Growth Recovery Expected, Driven by Consumption
- **China PMIs:** Contraction, but IEEPA Ruling May Cloud Takeaways
- **China Inflation:** Deflation Pressures to Remain Present
- **China NPC and 15th Five-Year Plan:** Significance Has Dwindled

Weekly International Indicator Forecasts

Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
3-Mar	Eurozone	CPI (MoM)	Feb	0.5%	0.4%	-0.6%
3-Mar	Eurozone	CPI (YoY)	Feb	1.7%	1.6%	1.7%
3-Mar	Eurozone	Core CPI (YoY)	Feb	2.2%	2.2%	2.2%
4-Mar	Australia	GDP (QoQ, SA)	Q4	0.7%	0.6%	0.4%
4-Mar	Australia	GDP (YoY)	Q4	2.2%	2.1%	2.1%
4-Mar	China	Manufacturing PMI	Feb	49.1	—	49.3
4-Mar	China	Non-Manufacturing PMI	Feb	49.7	—	49.4
9-Mar	China	CPI (YoY)	Feb	—	—	0.2%

Forecast as of February 27, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

Eurozone February CPI • (03/03)

Broader Disinflation to Keep ECB Asymmetry for Rate Cuts

We expect preliminary readings for February CPI to come in at 0.4% month-over-month, below consensus at 0.5% (per Bloomberg). In terms of the year-over-year numbers, we expect headline inflation to decline to 1.6% from 1.7% and core to hold at 2.2%. Disinflationary pressures have broadened in recent months beyond energy prices and have encompassed both non-energy industrial goods (NEIG) and services. A stronger EUR, goods diversion from China and weak global demand has helped drive the softness in NEIG price inflation, whereas easing wage momentum has helped push services inflation lower. Although our baseline remains for the European Central Bank (ECB) to remain on hold, the asymmetry remains firmly tilted towards easing, in our view. The ECB appears comfortable with a slight undershoot of inflation vs. its target (ECB forecast of 1.9% and 1.8% for 2026 and 2027, respectively), however larger shortfalls are likely to bring rate cuts back on the table. Moreover, the ECB is likely to be sensitive to signs of weakness in growth and/or tightness in credit conditions. We continue to believe meaningful support from fiscal policy is not likely until 2027. On the flip side, upside risks to inflation have dissipated significantly absent a meaningful rebound in oil/gas prices.

Australia GDP • (03/04)

Q4 Growth Recovery Expected, Driven by Consumption

Australia's growth likely strengthened at year-end after a softer Q3 print. While we and consensus expect a Q4 rebound, we see less upside, with GDP rising 0.6% quarter-over-quarter on a seasonally adjusted basis and 2.1% year-over-year (versus consensus expectations of 0.7% and 2.2%, respectively). Q3 GDP grew 0.4% quarter-over-quarter and 2.1% year-over-year, driven mainly by a 0.8% increase in private business investment led by a 7.6% rebound in machinery and equipment. That momentum appears to have faded, as recent capital expenditure data show machinery and equipment spending slowing, and while non-residential construction remained firm, overall business investment momentum likely softened. Consumption, which accounts for roughly half of GDP, was more resilient in Q4, with monthly household spending indicators pointing to stronger activity despite a weaker December, and should be the main growth driver as Reserve Bank of Australia (RBA) rate cuts continued to filter through the economy. As in Q3, net exports and inventories are likely to weigh on growth, with imports continuing to outpace exports and monthly trade data pointing to another drag. In terms of monetary policy implications, we remain comfortable with our base case of one additional rate hike in May, taking the Cash Rate to 4.10%, given still-elevated inflation. However, a weaker-than-expected Q4 growth outcome could likely cap the tightening cycle at a single hike and reduce the risk of further increases later this year.

EM

China Manufacturing & Non-Manufacturing PMI • (03/04)

Contraction Territory, but IEEPA Tariff Ruling May Cloud Takeaways

With most hard activity data delayed due to Lunar New Year celebrations, PMIs will be closely watched to gauge underlying economic sentiment in China. As of January, both the manufacturing and non-manufacturing PMIs are in contraction territory and expectations are for both sentiment indices to remain below 50 when February data are released. Historically, PMI data have been useful to gauge trend direction of China's economy. Below 50 prints are consistent with decelerating activity, and vice versa. But keep in mind, while February data may show both sectors in contraction, they both may not fully capture a lower effective tariff rate applied to Chinese exports headed for the U.S. after the U.S. Supreme Court's IEEPA tariff ruling. So while we will be paying attention to both, we will take each with a modest grain of salt. March PMIs next month will likely be more reflective of whether U.S. importers will rush to place orders in China as tariff rates are lower, especially with the Trump administration set to raise the baseline tariff to 15% in the coming weeks and possibly explore new country-specific tariffs through another legal avenues in the coming months. While we remain steadfast in our view that China's economy is riddled with structural imbalances that will pressure long-term growth rates, short-term growth prospects are holding up on exports with risks to our 4.7% 2026 GDP forecast tilted to the upside.

China Inflation • (03/09)

Weak Consumer Spending and Subdued Export Prices Keep Deflation Pressures Present

Deflation pressures are one of the structural deficiencies within China's economy, a challenge for short and long-term growth that should be on display when February CPI and PPI data are released next week. On the consumer side, subdued inflation is a product of weak consumer confidence and subdued domestic demand. We can point to a myriad of issues that contribute to soft consumer spending, but an unwillingness by Chinese policymakers to reflate the economy via monetary policy accommodation and fiscal support should mean soft consumer activity likely remains a theme for the foreseeable future. For producers, exporters are still trying to clear our excess inventory and still keeping export prices low. Export prices have come up a bit as authorities have pursued an anti-involution agenda, but we would not expect any significant changes to export prices nor PPI next month. Thematically, exporters may also look to keep prices permanently lower in an effort to maintain market share won last year. China now has ~22% of the global export market, up from ~17% at the end of 2024. How does China maintain market share? Pull-forward of external demand and front-running tariff hikes will help, but keeping prices low doesn't hurt either.

China National People's Congress and 15th Five-Year Plan • (03/05 – ~03/19)

Significance Has Dwindled and We Do Not Expect Anything Groundbreaking

The annual gathering of the National People's Congress (NPC) will start next week, yet will run over the course of the next two weeks. Typically, the NPC is a forum for implementing policy already decided and does not generate much in terms of surprises. We expect a similar result this year. But at least this year's NPC will be marked by the Chinese Communist Party (CCP) releasing its updated and 15th "Five-Year Plan" designed to offer insight into economic priorities, how the economy will be managed and economic goals for the next five years. In the past, Five-Year Plans were significant—especially during the Great Leap Forward years and the subsequent recovery and pursuit of a more market-driven economy under Deng. But more recently, Five-Year Plans have not offered much in terms of detail nor significant adjustments to how the CCP wants to evolve China's economy. For the 15th Plan, CCP members have already released a tentative summary of what the final Five-Year Plan will address. Long document, but skimming through suggests little in terms of surprises or significance. While we will pay attention, we anticipate headlines that sound material and economy-altering, particularly in the current tariff and trade backdrop, to amount to more of the same recent trends. We expect market participants to ultimately shrug off the Five-Year Plan and focus elsewhere going forward.

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Required Disclosures

Economics

February 27, 2026

Weekly Economic & Financial Commentary

Weekly

Summary

U.S. Week in Review

- The economic data calendar was relatively light this week. However, the major indicators that were published showed that inflation pressures continue to percolate with few signs of the labor market exiting its soft patch. Meanwhile, the Fed communication channel provided comments underscoring the lack of consensus on which side of the Fed's dual mandate demands the most attention, given still-elevated inflation and labor market risks.

U.S. Week Ahead

- Next week will bring some key readings on the economy's early year momentum. We look for the February ISM surveys to show a modest firming in services activity and that the factory sector is continuing to reemerge from the prior year's slump. Yet, the February employment report is likely to indicate that, while the labor market remains roughly in balance, job growth is struggling more than last month's jump in payrolls indicated. We believe the temperate labor market backdrop along with adverse winter weather led to a muted rise in January retail sales.

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Date	Indicator	Period	Consensus	Wells Fargo	Prior
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4-Mar	ISM Services	Feb	53.8	54.2	53.8
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6-Mar	Retail Sales (MoM)	Jan	-0.3%	0.1%	0.0%
6-Mar	Retail Sales Ex-Auto (MoM)	Jan	0.0%	0.3%	0.0%
6-Mar	Nonfarm Payrolls	Feb	60K	45K	130K
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6-Mar	Unemployment Rate	Feb	4.3%	4.3%	4.3%
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Forecast as of February 27, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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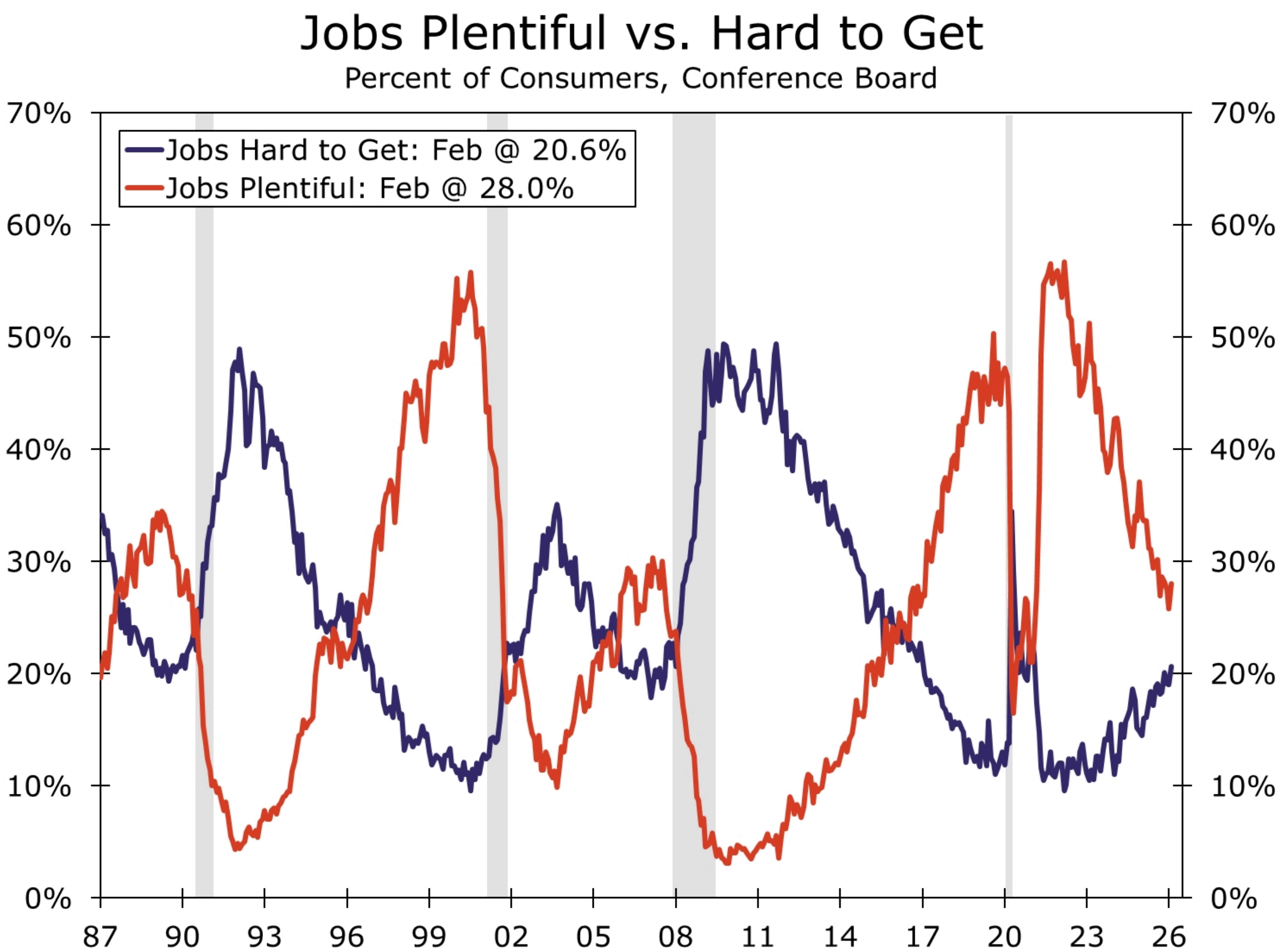
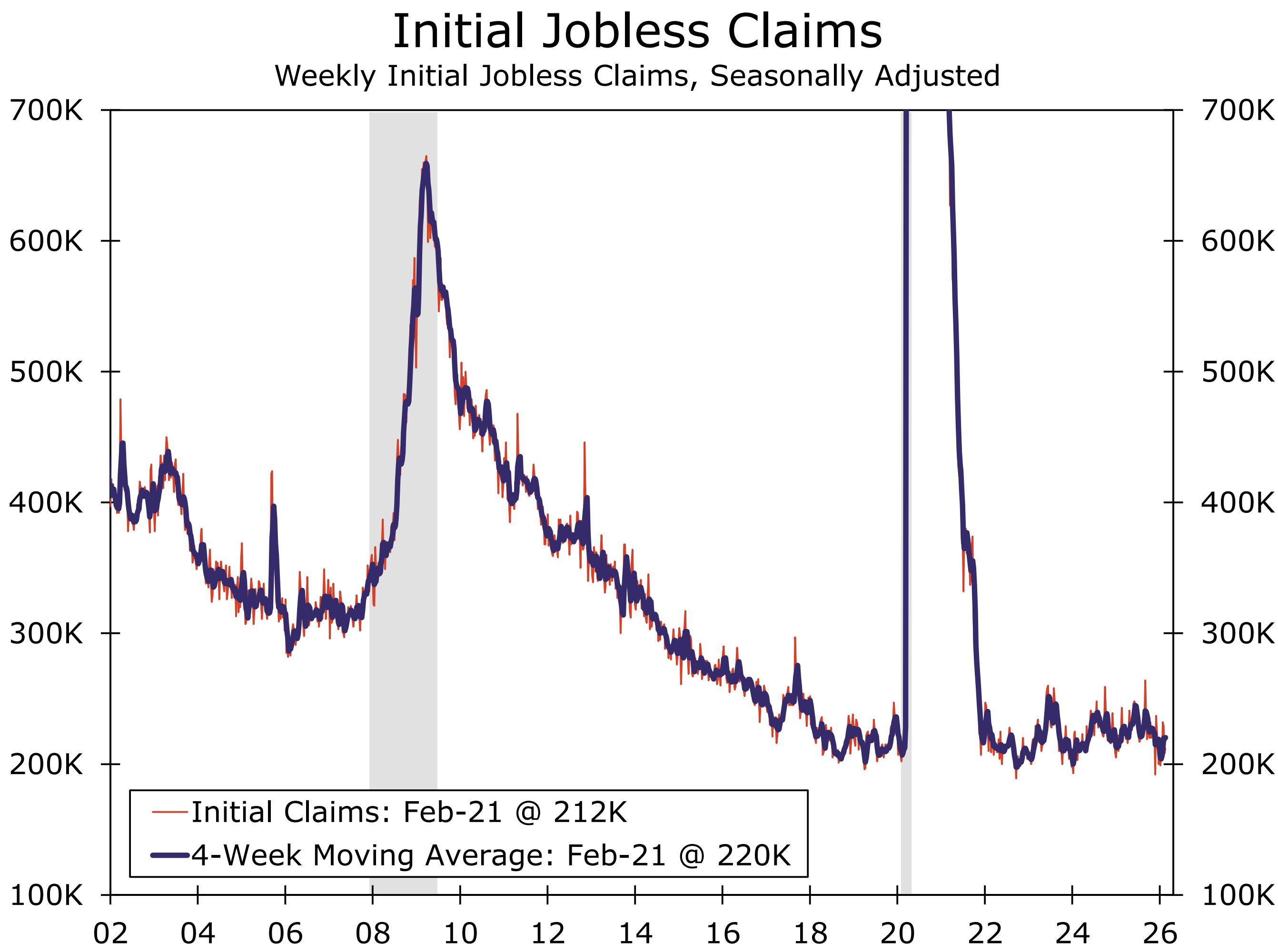
The soft labor market narrative was on display within the details of January's consumer confidence print. Top-line consumer confidence is still bouncing around at the lower end of its past five-year range but came in a bit stronger than expected during January. The upside surprise was an encouraging development in that it suggests consumers are not feeling any worse about the current state of the economy. That said, the labor differential subcomponent, i.e., the difference between respondents saying "jobs are plentiful" and those saying "jobs are hard to get," remains a glaring weak spot.

Breaking it down, just 28% of people think "jobs are plentiful," up slightly during the month but still well off the recent cycle peak of over 50%. This suggests firms are still being cautious on adding to headcounts. But are they reducing payrolls in a material way? "Jobs hard to get" has averaged just 20% over the past several months, up from recent lows but hardly consistent with skyrocketing unemployment. In addition, initial jobless claims declined to 212K during the week ended Feb. 21, further evidence that overall unemployment is not surging higher. The message is that the labor market is currently lethargic, with very slow rates of new hiring. But deep and widespread layoffs (beyond a select few industries) do not appear to be happening either.



Source: The Conference Board and Wells Fargo Economics



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The thin flow of major indicators allowed plenty of time to parse through a full week of Fed speak. Generally speaking, the comments provided underscored that there is no clear consensus at the FOMC and among the regional bank presidents on which side of the Fed's dual mandate demands the most attention. For example, Chicago Fed President Goolsbee stated "I remain optimistic that there can be more rate cuts this year. But that hinges on seeing actual progress on inflation that shows we are on a path back to 2%." Governor Miran seemed more concerned about downside risks to employment, saying "I think it's way too early to sort of sound an all clear that the labor market doesn't need more support from the Federal Reserve" and "four cuts I think are appropriate and I'd rather get them sooner rather than later."

However, comments from Governor Waller at the NABE policy conference in D.C. on Monday especially stood out to us. "If the labor market data for February are consistent with the stronger job creation and low unemployment rate initially reported in January, indicating that downside risks to the labor market have diminished, it may be appropriate to hold the FOMC's policy rate at current levels and watch for continued progress on inflation and strength in the labor market. But if the good labor market news of January is revised away or evaporates in February, it would support my position at the FOMC's last meeting, that a 25-basis-point reduction in the policy rate was appropriate, and that such a cut should be made at the March meeting. As things stand today, I rate these two possible outcomes as close to a coin flip."

In our view, January's "strong" employment growth may have been overstated and a more moderate payroll gain in February seems likely. For more on our nonfarm payroll forecast, please see below in our Outlook section. Nevertheless, labor market conditions do not appear to be deteriorating and look to have stabilized, albeit within a "low hire, low fire" context. Meanwhile, January's hotter-than-expected rise in both the headline and core Producer Price Index is the latest reminder that price pressures are still evident and that most inflation measures are still running above the FOMC's 2% target. From our standpoint, this lowers the likelihood of a March rate cut, though two additional 25 bps cuts later this year are still on the table, given still-present downside risks in the labor market.

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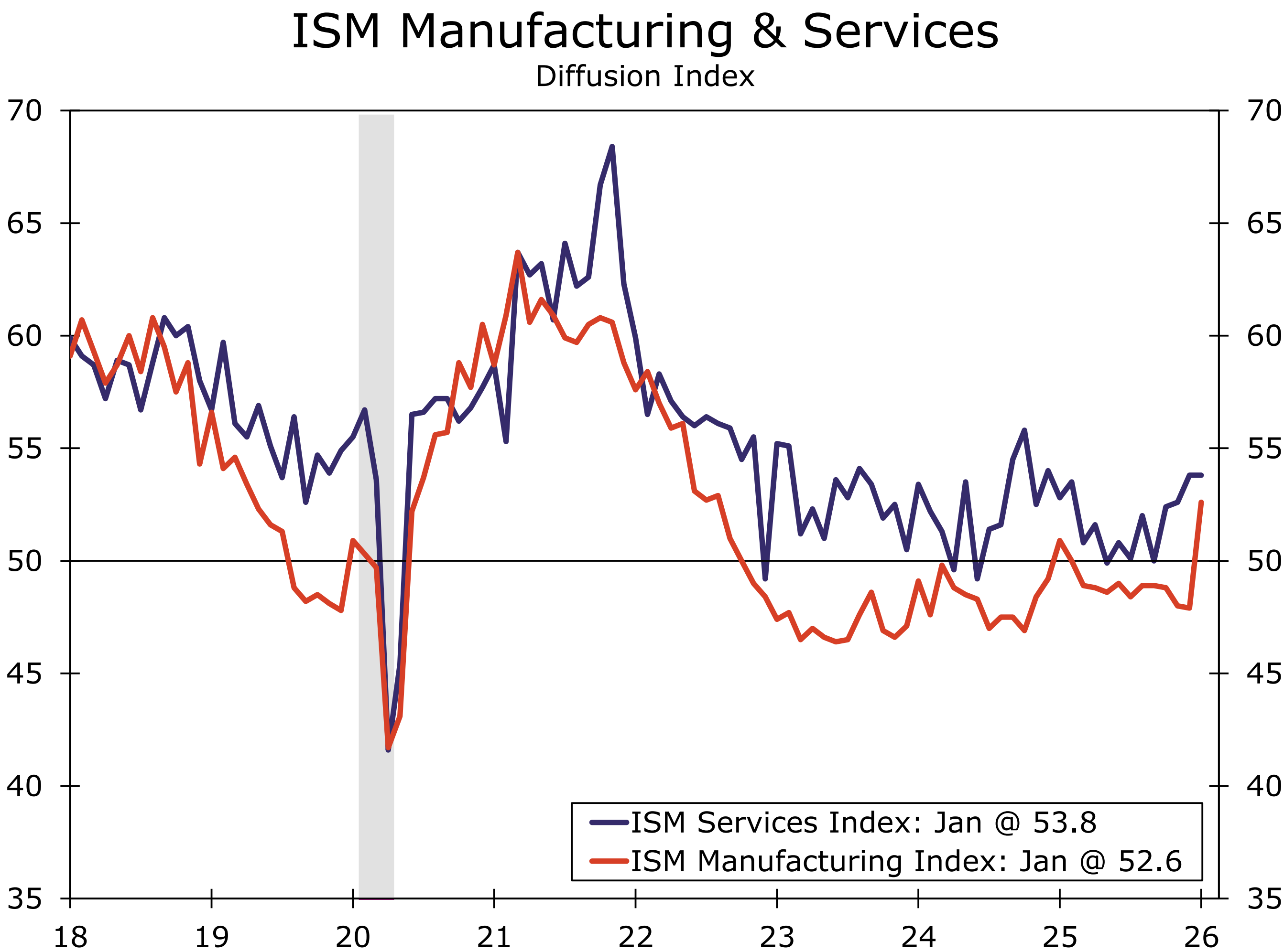
U.S. Week Ahead

Monday & Wednesday • ISM Surveys

The ISM manufacturing index crossed into expansion territory in January for the first time in 10 months. The improvement comes amid an upswing in capital spending—highlighted by broadening in durable goods orders—as well as restocking efforts in the wake of last year's tariff hikes. We would not be surprised to see a little giveback in February following last month's leap, however, and estimate a February print of 52.0. The nearly 10-point jump in the new orders component in January overstates underlying momentum in the factory sector in our view. Regional PMIs for February show manufacturing activity continued to expand last month, but a more even-keeled pace.

Non-manufacturing activity continues to hold up better, as indicated by the ISM services index maintaining its 14-month high in January. Although firms remain cautious when it comes to hiring, business activity has been sturdy. We look for the February reading, due Wednesday, to edge up to 54.2.



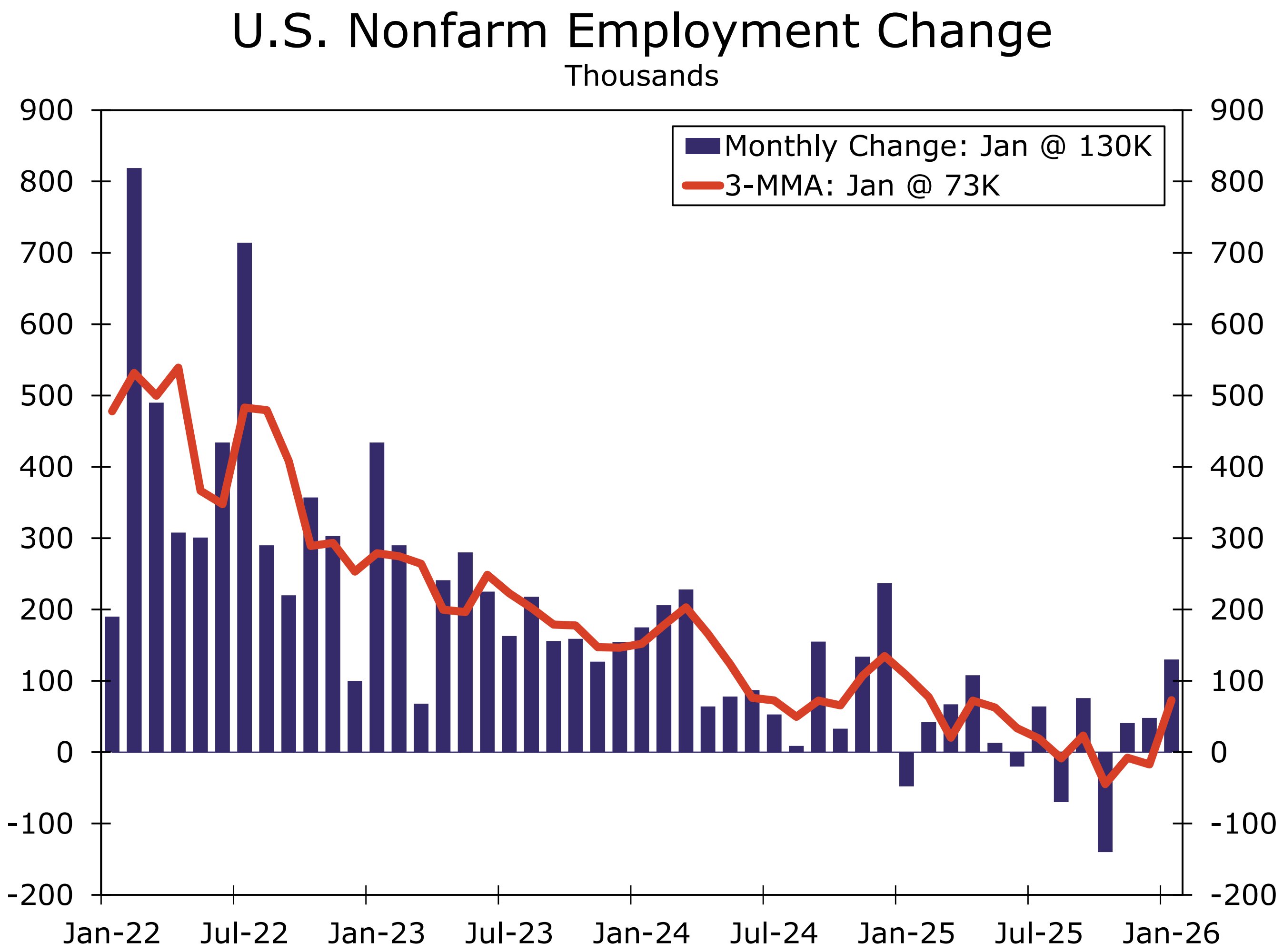
Source: Institute for Supply Management and Wells Fargo Economics

Friday • Employment

We expect the February employment report to show that January's robust pace of payroll growth overstated underlying momentum in the labor market. While some stabilization in demand for workers is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring. We look for nonfarm payrolls to rise by 45K in February, with weakness in weather-sensitive industries like construction and leisure & hospitality and some payback in healthcare & social assistance after a significantly above-trend reading in January.

We estimate the unemployment rate held steady at 4.3% in February, but see two-sided risk to this call. The household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. However, the implementation of the household survey's annual population adjustment poses downside risks, given the shift in immigration trends last year. *Ratios* from the household survey such as the labor force participation rate and unemployment rate are less affected by the population control adjustments than *level* data, but can move slightly under meaningful changes in the composition of the population.

The roughly balanced labor market should lead to average hourly earnings advancing a trend-like 0.3% in February and 3.7% over the past year. For more information, please see our employment preview.



Source: U.S. Department of Labor and Wells Fargo Economics

Friday • Retail Sales

The shutdown-delayed January retail sales report is expected to show spending got off to a modest start in 2026. A large winter storm across the central and eastern U.S. likely crimped activity, with auto sales in January already reported to have fallen to nearly a three-year low. Lower gasoline prices will also have weighed on sales, leading us to expect just a 0.1% increase in total retail sales last month.

Yet, consumers are still finding ways to spend despite the cooler jobs market leading to slower income growth and a dampened consumer mood. High-frequency credit card data showed some modest firming in spending in January, leading us to expect retail sales ex-autos rose 0.3% last month. We expect retail sales to show more signs of life in the coming months as larger tax refunds and stabilizing labor market conditions support more discretionary spending.

(Return to Summary)

Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

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Economics
February 27, 2026

International Week Ahead - February 27, 2026

Weekly

Economist(s)


Brendan McKenna


Aroop Chatterjee


Azhin Abdulkarim

International Week Ahead

- **Eurozone CPI:** Disinflation to Keep ECB Asymmetry for Rate Cuts
- **Australia GDP:** Q4 Growth Recovery Expected, Driven by Consumption
- **China PMIs:** Contraction, but IEEPA Ruling May Cloud Takeaways
- **China Inflation:** Deflation Pressures to Remain Present
- **China NPC and 15th Five-Year Plan:** Significance Has Dwindled

Weekly International Indicator Forecasts

Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
3-Mar	Eurozone	CPI (MoM)	Feb	0.5%	0.4%	-0.6%
3-Mar	Eurozone	CPI (YoY)	Feb	1.7%	1.6%	1.7%
3-Mar	Eurozone	Core CPI (YoY)	Feb	2.2%	2.2%	2.2%
4-Mar	Australia	GDP (QoQ, SA)	Q4	0.7%	0.6%	0.4%
4-Mar	Australia	GDP (YoY)	Q4	2.2%	2.1%	2.1%
4-Mar	China	Manufacturing PMI	Feb	49.1	—	49.3
4-Mar	China	Non-Manufacturing PMI	Feb	49.7	—	49.4
9-Mar	China	CPI (YoY)	Feb	—	—	0.2%

Forecast as of February 27, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

G10

Eurozone February CPI • (03/03)

Broader Disinflation to Keep ECB Asymmetry for Rate Cuts

We expect preliminary readings for February CPI to come in at 0.4% month-over-month, below consensus at 0.5% (per Bloomberg). In terms of the year-over-year numbers, we expect headline inflation to decline to 1.6% from 1.7% and core to hold at 2.2%. Disinflationary pressures have broadened in recent months beyond energy prices and have encompassed both non-energy industrial goods (NEIG) and services. A stronger EUR, goods diversion from China and weak global demand has helped drive the softness in NEIG price inflation, whereas easing wage momentum has helped push services inflation lower. Although our baseline remains for the European Central Bank (ECB) to remain on hold, the asymmetry remains firmly tilted towards easing, in our view. The ECB appears comfortable with a slight undershoot of inflation vs. its target (ECB forecast of 1.9% and 1.8% for 2026 and 2027, respectively), however larger shortfalls are likely to bring rate cuts back on the table. Moreover, the ECB is likely to be sensitive to signs of weakness in growth and/or tightness in credit conditions. We continue to believe meaningful support from fiscal policy is not likely until 2027. On the flip side, upside risks to inflation have dissipated significantly absent a meaningful rebound in oil/gas prices.

Australia GDP • (03/04)

Q4 Growth Recovery Expected, Driven by Consumption

Australia's growth likely strengthened at year-end after a softer Q3 print. While we and consensus expect a Q4 rebound, we see less upside, with GDP rising 0.6% quarter-over-quarter on a seasonally adjusted basis and 2.1% year-over-year (versus consensus expectations of 0.7% and 2.2%, respectively). Q3 GDP grew 0.4% quarter-over-quarter and 2.1% year-over-year, driven mainly by a 0.8% increase in private business investment led by a 7.6% rebound in machinery and equipment. That momentum appears to have faded, as recent capital expenditure data show machinery and equipment spending slowing, and while non-residential construction remained firm, overall business investment momentum likely softened. Consumption, which accounts for roughly half of GDP, was more resilient in Q4, with monthly household spending indicators pointing to stronger activity despite a weaker December, and should be the main growth driver as Reserve Bank of Australia (RBA) rate cuts continued to filter through the economy. As in Q3, net exports and inventories are likely to weigh on growth, with imports continuing to outpace exports and monthly trade data pointing to another drag. In terms of monetary policy implications, we remain comfortable with our base case of one additional rate hike in May, taking the Cash Rate to 4.10%, given still-elevated inflation. However, a weaker-than-expected Q4 growth outcome could likely cap the tightening cycle at a single hike and reduce the risk of further increases later this year.

EM

China Manufacturing & Non-Manufacturing PMI • (03/04)

Contraction Territory, but IEEPA Tariff Ruling May Cloud Takeaways

With most hard activity data delayed due to Lunar New Year celebrations, PMIs will be closely watched to gauge underlying economic sentiment in China. As of January, both the manufacturing and non-manufacturing PMIs are in contraction territory and expectations are for both sentiment indices to remain below 50 when February data are released. Historically, PMI data have been useful to gauge trend direction of China's economy. Below 50 prints are consistent with decelerating activity, and vice versa. But keep in mind, while February data may show both sectors in contraction, they both may not fully capture a lower effective tariff rate applied to Chinese exports headed for the U.S. after the U.S. Supreme Court's IEEPA tariff ruling. So while we will be paying attention to both, we will take each with a modest grain of salt. March PMIs next month will likely be more reflective of whether U.S. importers will rush to place orders in China as tariff rates are lower, especially with the Trump administration set to raise the baseline tariff to 15% in the coming weeks and possibly explore new country-specific tariffs through another legal avenues in the coming months. While we remain steadfast in our view that China's economy is riddled with structural imbalances that will pressure long-term growth rates, short-term growth prospects are holding up on exports with risks to our 4.7% 2026 GDP forecast tilted to the upside.

China Inflation • (03/09)

Weak Consumer Spending and Subdued Export Prices Keep Deflation Pressures Present

Deflation pressures are one of the structural deficiencies within China's economy, a challenge for short and long-term growth that should be on display when February CPI and PPI data are released next week. On the consumer side, subdued inflation is a product of weak consumer confidence and subdued domestic demand. We can point to a myriad of issues that contribute to soft consumer spending, but an unwillingness by Chinese policymakers to reflate the economy via monetary policy accommodation and fiscal support should mean soft consumer activity likely remains a theme for the foreseeable future. For producers, exporters are still trying to clear our excess inventory and still keeping export prices low. Export prices have come up a bit as authorities have pursued an anti-involution agenda, but we would not expect any significant changes to export prices nor PPI next month. Thematically, exporters may also look to keep prices permanently lower in an effort to maintain market share won last year. China now has ~22% of the global export market, up from ~17% at the end of 2024. How does China maintain market share? Pull-forward of external demand and front-running tariff hikes will help, but keeping prices low doesn't hurt either.

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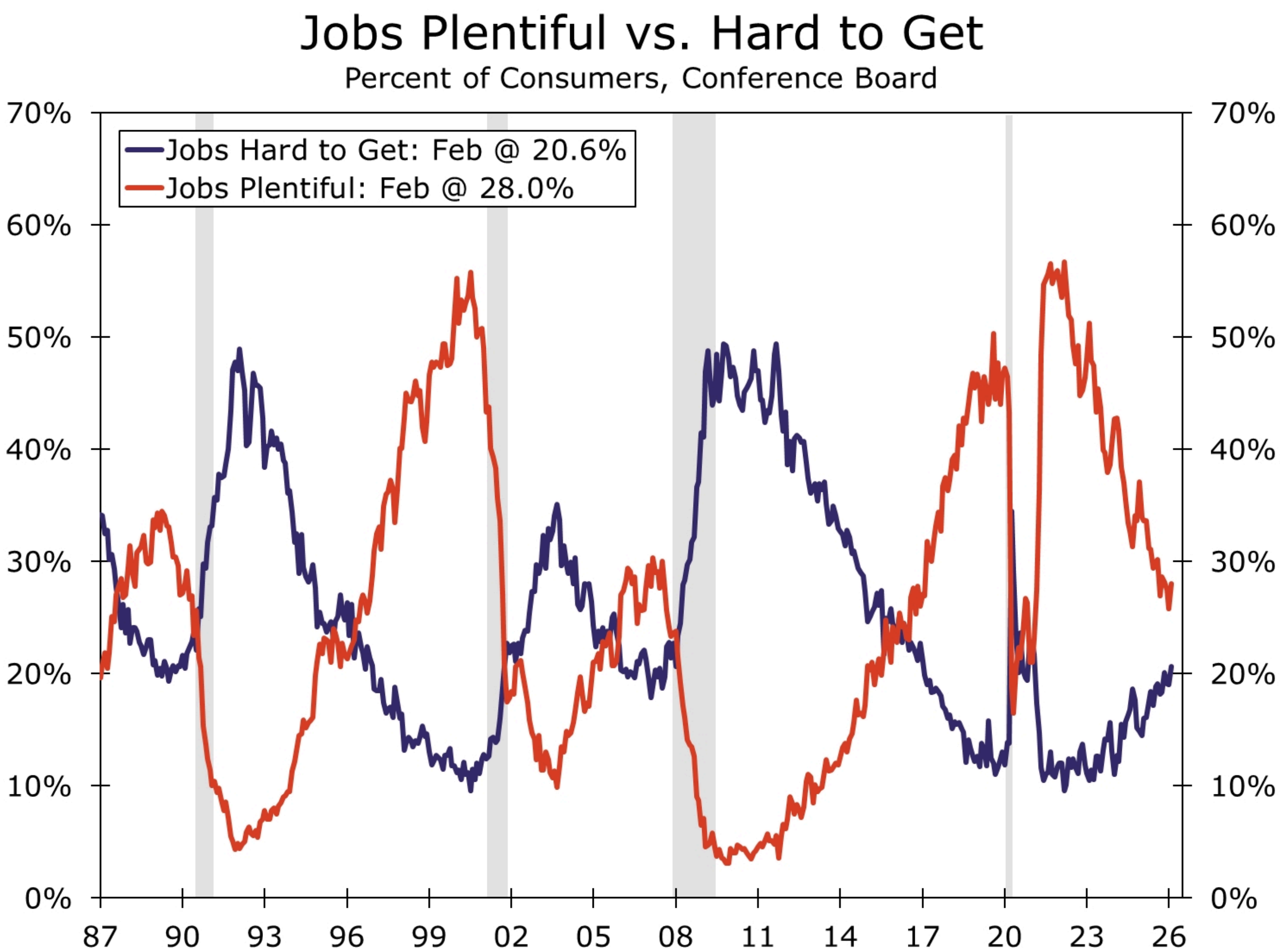

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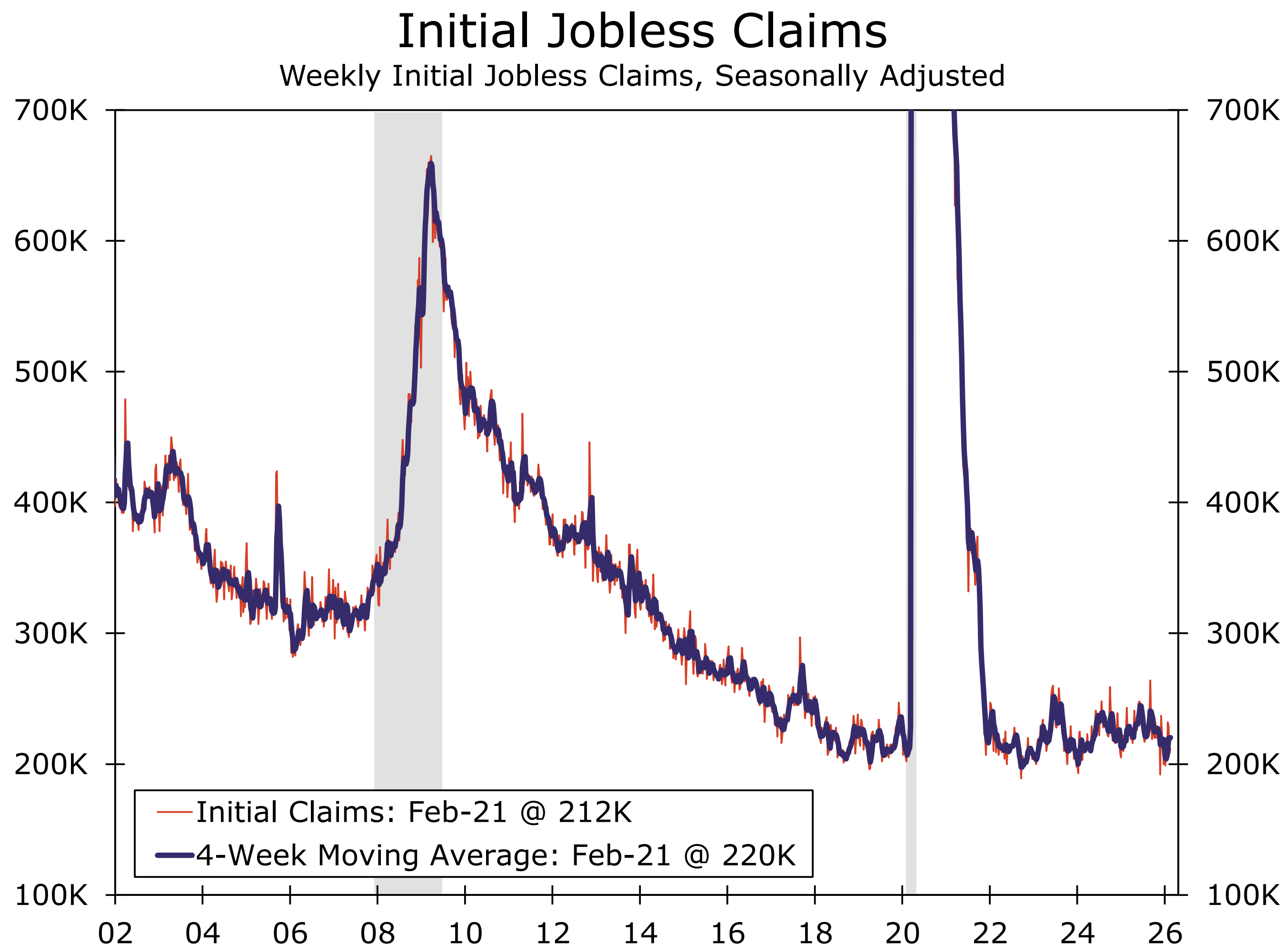

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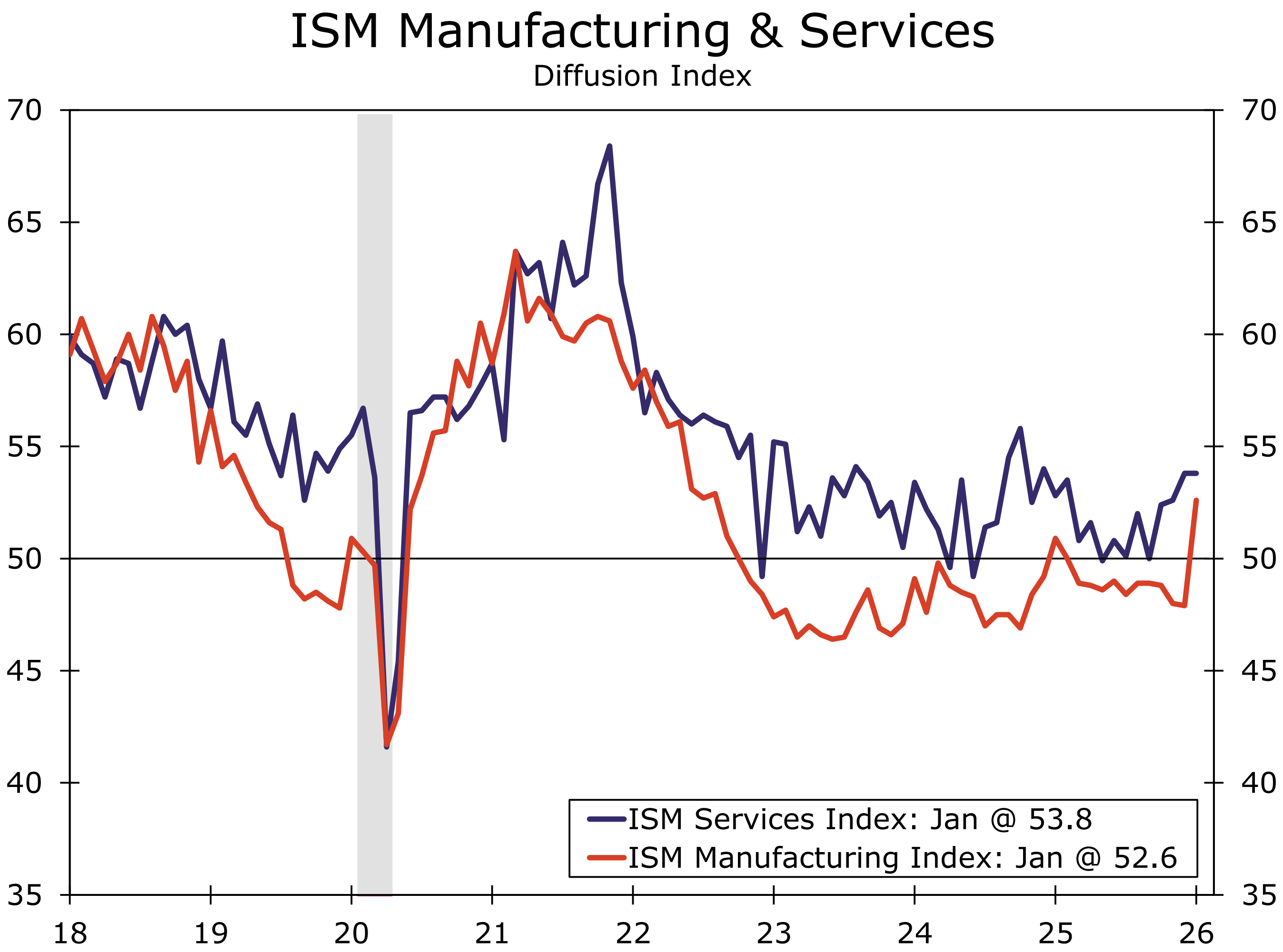
U.S. Week Ahead

Monday & Wednesday • ISM Surveys

The ISM manufacturing index crossed into expansion territory in January for the first time in 10 months. The improvement comes amid an upswing in capital spending—highlighted by broadening in durable goods orders—as well as restocking efforts in the wake of last year's tariff hikes. We would not be surprised to see a little giveback in February following last month's leap, however, and estimate a February print of 52.0. The nearly 10-point jump in the new orders component in January overstates underlying momentum in the factory sector in our view. Regional PMIs for February show manufacturing activity continued to expand last month, but a more even-keeled pace.

Non-manufacturing activity continues to hold up better, as indicated by the ISM services index maintaining its 14-month high in January. Although firms remain cautious when it comes to hiring, business activity has been sturdy. We look for the February reading, due Wednesday, to edge up to 54.2.



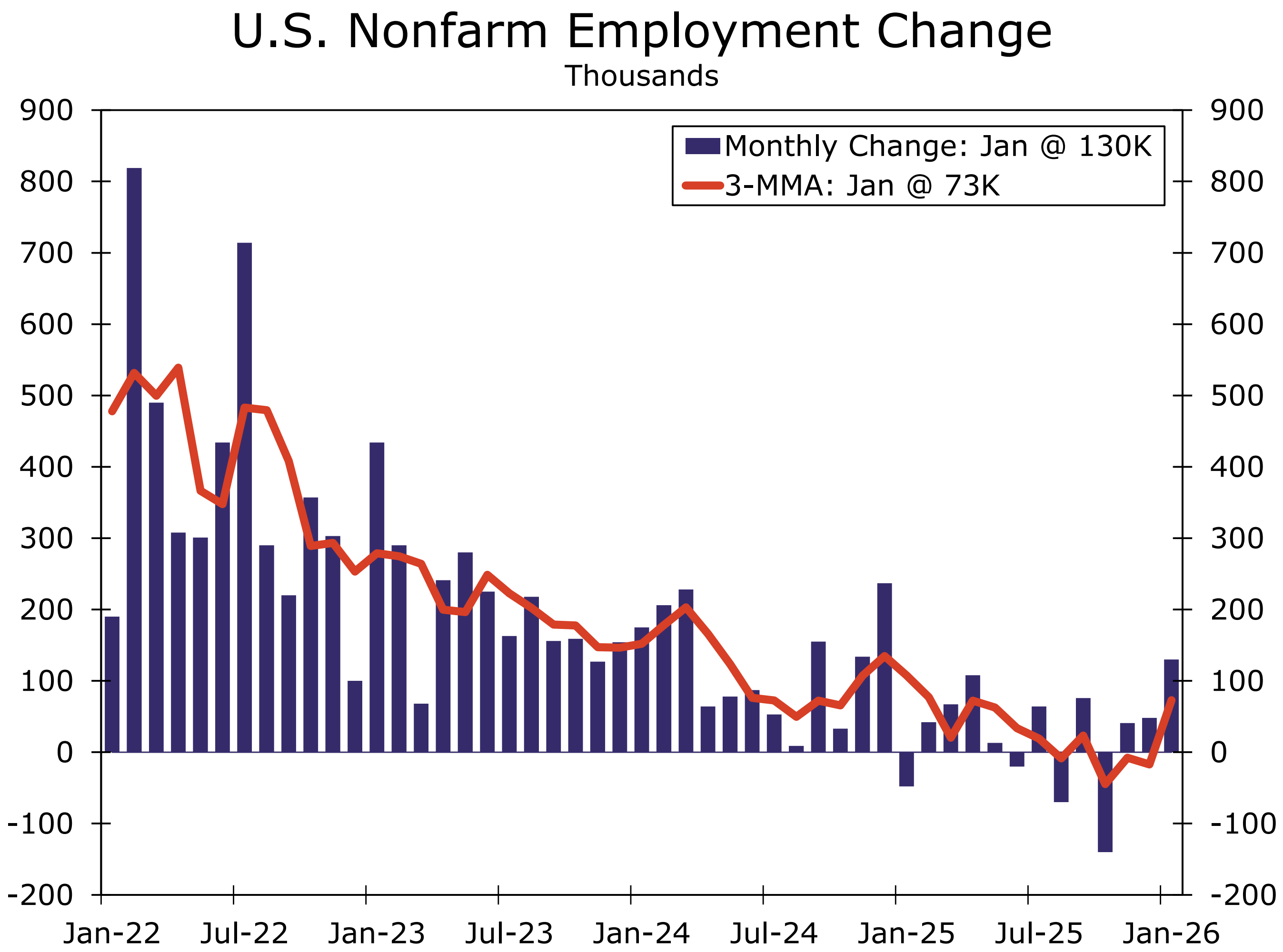
Source: Institute for Supply Management and Wells Fargo Economics

Friday • Employment

We expect the February employment report to show that January's robust pace of payroll growth overstated underlying momentum in the labor market. While some stabilization in demand for workers is evident, a range of indicators, including JOLTS and consumers' perception of job availability, continue to point to a gradual loosening in labor market conditions rather than a renewed acceleration in hiring. We look for nonfarm payrolls to rise by 45K in February, with weakness in weather-sensitive industries like construction and leisure & hospitality and some payback in healthcare & social assistance after a significantly above-trend reading in January.

We estimate the unemployment rate held steady at 4.3% in February, but see two-sided risk to this call. The household survey's measure of employment growth has been running well ahead of its trend the past two months, leaving some scope for payback in February that could push the jobless rate up to 4.4%. However, the implementation of the household survey's annual population adjustment poses downside risks, given the shift in immigration trends last year. *Ratios* from the household survey such as the labor force participation rate and unemployment rate are less affected by the population control adjustments than *level* data, but can move slightly under meaningful changes in the composition of the population.

The roughly balanced labor market should lead to average hourly earnings advancing a trend-like 0.3% in February and 3.7% over the past year. For more information, please see our employment preview.



Source: U.S. Department of Labor and Wells Fargo Economics

Friday • Retail Sales

The shutdown-delayed January retail sales report is expected to show spending got off to a modest start in 2026. A large winter storm across the central and eastern U.S. likely crimped activity, with auto sales in January already reported to have fallen to nearly a three-year low. Lower gasoline prices will also have weighed on sales, leading us to expect just a 0.1% increase in total retail sales last month.

Yet, consumers are still finding ways to spend despite the cooler jobs market leading to slower income growth and a dampened consumer mood. High-frequency credit card data showed some modest firming in spending in January, leading us to expect retail sales ex-autos rose 0.3% last month. We expect retail sales to show more signs of life in the coming months as larger tax refunds and stabilizing labor market conditions support more discretionary spending.

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Source: U.S. Department of Commerce, Bloomberg Finance L.P. and Wells Fargo Economics

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Economics

February 27, 2026

International Week Ahead - February 27, 2026

Weekly

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International Week Ahead

- **Eurozone CPI:** Disinflation to Keep ECB Asymmetry for Rate Cuts
- **Australia GDP:** Q4 Growth Recovery Expected, Driven by Consumption
- **China PMIs:** Contraction, but IEEPA Ruling May Cloud Takeaways
- **China Inflation:** Deflation Pressures to Remain Present
- **China NPC and 15th Five-Year Plan:** Significance Has Dwindled

Weekly International Indicator Forecasts

Date	Country	Indicator	Period	Consensus	Wells Fargo	Prior
3-Mar	Eurozone	CPI (MoM)	Feb	0.5%	0.4%	-0.6%
3-Mar	Eurozone	CPI (YoY)	Feb	1.7%	1.6%	1.7%
3-Mar	Eurozone	Core CPI (YoY)	Feb	2.2%	2.2%	2.2%
4-Mar	Australia	GDP (QoQ, SA)	Q4	0.7%	0.6%	0.4%
4-Mar	Australia	GDP (YoY)	Q4	2.2%	2.1%	2.1%
4-Mar	China	Manufacturing PMI	Feb	49.1	—	49.3
4-Mar	China	Non-Manufacturing PMI	Feb	49.7	—	49.4
9-Mar	China	CPI (YoY)	Feb	—	—	0.2%

Forecast as of February 27, 2026

Source: Bloomberg Finance L.P. and Wells Fargo Economics

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Eurozone February CPI • (03/03)

Broader Disinflation to Keep ECB Asymmetry for Rate Cuts

We expect preliminary readings for February CPI to come in at 0.4% month-over-month, below consensus at 0.5% (per Bloomberg). In terms of the year-over-year numbers, we expect headline inflation to decline to 1.6% from 1.7% and core to hold at 2.2%. Disinflationary pressures have broadened in recent months beyond energy prices and have encompassed both non-energy industrial goods (NEIG) and services. A stronger EUR, goods diversion from China and weak global demand has helped drive the softness in NEIG price inflation, whereas easing wage momentum has helped push services inflation lower. Although our baseline remains for the European Central Bank (ECB) to remain on hold, the asymmetry remains firmly tilted towards easing, in our view. The ECB appears comfortable with a slight undershoot of inflation vs. its target (ECB forecast of 1.9% and 1.8% for 2026 and 2027, respectively), however larger shortfalls are likely to bring rate cuts back on the table. Moreover, the ECB is likely to be sensitive to signs of weakness in growth and/or tightness in credit conditions. We continue to believe meaningful support from fiscal policy is not likely until 2027. On the flip side, upside risks to inflation have dissipated significantly absent a meaningful rebound in oil/gas prices.

Australia GDP • (03/04)

Q4 Growth Recovery Expected, Driven by Consumption

Australia's growth likely strengthened at year-end after a softer Q3 print. While we and consensus expect a Q4 rebound, we see less upside, with GDP rising 0.6% quarter-over-quarter on a seasonally adjusted basis and 2.1% year-over-year (versus consensus expectations of 0.7% and 2.2%, respectively). Q3 GDP grew 0.4% quarter-over-quarter and 2.1% year-over-year, driven mainly by a 0.8% increase in private business investment led by a 7.6% rebound in machinery and equipment. That momentum appears to have faded, as recent capital expenditure data show machinery and equipment spending slowing, and while non-residential construction remained firm, overall business investment momentum likely softened. Consumption, which accounts for roughly half of GDP, was more resilient in Q4, with monthly household spending indicators pointing to stronger activity despite a weaker December, and should be the main growth driver as Reserve Bank of Australia (RBA) rate cuts continued to filter through the economy. As in Q3, net exports and inventories are likely to weigh on growth, with imports continuing to outpace exports and monthly trade data pointing to another drag. In terms of monetary policy implications, we remain comfortable with our base case of one additional rate hike in May, taking the Cash Rate to 4.10%, given still-elevated inflation. However, a weaker-than-expected Q4 growth outcome could likely cap the tightening cycle at a single hike and reduce the risk of further increases later this year.

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China Manufacturing & Non-Manufacturing PMI • (03/04)

Contraction Territory, but IEEPA Tariff Ruling May Cloud Takeaways

With most hard activity data delayed due to Lunar New Year celebrations, PMIs will be closely watched to gauge underlying economic sentiment in China. As of January, both the manufacturing and non-manufacturing PMIs are in contraction territory and expectations are for both sentiment indices to remain below 50 when February data are released. Historically, PMI data have been useful to gauge trend direction of China's economy. Below 50 prints are consistent with decelerating activity, and vice versa. But keep in mind, while February data may show both sectors in contraction, they both may not fully capture a lower effective tariff rate applied to Chinese exports headed for the U.S. after the U.S. Supreme Court's IEEPA tariff ruling. So while we will be paying attention to both, we will take each with a modest grain of salt. March PMIs next month will likely be more reflective of whether U.S. importers will rush to place orders in China as tariff rates are lower, especially with the Trump administration set to raise the baseline tariff to 15% in the coming weeks and possibly explore new country-specific tariffs through another legal avenues in the coming months. While we remain steadfast in our view that China's economy is riddled with structural imbalances that will pressure long-term growth rates, short-term growth prospects are holding up on exports with risks to our 4.7% 2026 GDP forecast tilted to the upside.

China Inflation • (03/09)

Weak Consumer Spending and Subdued Export Prices Keep Deflation Pressures Present

Deflation pressures are one of the structural deficiencies within China's economy, a challenge for short and long-term growth that should be on display when February CPI and PPI data are released next week. On the consumer side, subdued inflation is a product of weak consumer confidence and subdued domestic demand. We can point to a myriad of issues that contribute to soft consumer spending, but an unwillingness by Chinese policymakers to reflate the economy via monetary policy accommodation and fiscal support should mean soft consumer activity likely remains a theme for the foreseeable future. For producers, exporters are still trying to clear our excess inventory and still keeping export prices low. Export prices have come up a bit as authorities have pursued an anti-involution agenda, but we would not expect any significant changes to export prices nor PPI next month. Thematically, exporters may also look to keep prices permanently lower in an effort to maintain market share won last year. China now has ~22% of the global export market, up from ~17% at the end of 2024. How does China maintain market share? Pull-forward of external demand and front-running tariff hikes will help, but keeping prices low doesn't hurt either.

China National People's Congress and 15th Five-Year Plan • (03/05 – ~03/19)

Significance Has Dwindled and We Do Not Expect Anything Groundbreaking

The annual gathering of the National People's Congress (NPC) will start next week, yet will run over the course of the next two weeks. Typically, the NPC is a forum for implementing policy already decided and does not generate much in terms of surprises. We expect a similar result this year. But at least this year's NPC will be marked by the Chinese Communist Party (CCP) releasing its updated and 15th "Five-Year Plan" designed to offer insight into economic priorities, how the economy will be managed and economic goals for the next five years. In the past, Five-Year Plans were significant—especially during the Great Leap Forward years and the subsequent recovery and pursuit of a more market-driven economy under Deng. But more recently, Five-Year Plans have not offered much in terms of detail nor significant adjustments to how the CCP wants to evolve China's economy. For the 15th Plan, CCP members have already released a tentative summary of what the final Five-Year Plan will address. Long document, but skimming through suggests little in terms of surprises or significance. While we will pay attention, we anticipate headlines that sound material and economy-altering, particularly in the current tariff and trade backdrop, to amount to more of the same recent trends. We expect market participants to ultimately shrug off the Five-Year Plan and focus elsewhere going forward.

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